Supreme Court, U.S.
FILED

97 1642 APR 6 1998

No.

OFFICE OF THE CLERK

In the Supreme Court of the United States

OCTOBER TERM, 1997

THE UNITED STATES DEPARTMENT OF THE ARMY,
PETITIONER

v.

BLUE FOX, INC.

ON PETITION FOR A WRIT OF CERTIORARI TO THE UNITED STATES COURT OF APPEALS FOR THE NINTH CIRCUIT

PETITION FOR A WRIT OF CERTIORARI

SETH P. WAXMAN
Solicitor General
Counsel of Record

FRANK W. HUNGER
Assistant Attorney General

EDWIN S. KNEEDLER
Deputy Solicitor General

JEFFREY A. LAMKEN
Assistant to the Solicitor General

BARBARA C. BIDDLE
MARY K. DOYLE
Attorneys

Department of Justice
Washington, D.C. 20530-0001
(202) 514-2217

75pp

QUESTION PRESENTED

The Administrative Procedure Act provides that any person "suffering legal wrong because of agency action" or "adversely affected or aggrieved by agency action within the meaning of a relevant statute, is entitled to judicial review thereof." 5 U.S.C. 702. As amended in 1976, Section 702 also waives the government's sovereign immunity for such suits that seek relief other than "money damages." Respondent in this case, a subcontractor on a federal project, was not paid the full amount due to it from the prime contractor, and could not collect the full amount due from a surety because the prime contractor had not posted a payment bond required by federal law. The question presented is:

Whether 5 U.S.C. 702 permits respondent to bring an action in federal district court for an "equitable lien" against the government to recover the amounts owed to respondent by the primary contractor.

TABLE OF CONTENTS

	Page
Opinions below	1
Jurisdiction	1
Statutory provision involved	2
Statement	2
Reasons for granting the petition	11
Conclusion	29
Appendix A	1a
Appendix B	19a
Appendix C	21a
Appendix D	32a
Appendix E	33a

TABLE OF AUTHORITIES

Cases:

Active Fire Sprinkler Corp. v. *United States Postal Serv.*, 811 F.2d 747 (2d Cir. 1987) 22
Aetna Cas. & Surety Co. v. *United States*, 71 F.3d 475 (2d Cir. 1995) 9, 16, 17
Arvanis v. *Noslo Eng'g Consultants, Inc.*, 739 F.2d 1287 (7th Cir. 1984), cert. denied, 469 U.S. 1191 (1985) 22, 25, 26
Automatic Sprinkler Corp. of Am. v. *Darla Envtl. Specialists*, 53 F.3d 181 (7th Cir. 1995) 25, 26
Block v. *North Dakota*, 461 U.S. 273 (1983) 27
Bowen v. *Massachusetts*, 487 U.S. 879 (1988) 8, 11, 12, 13, 15, 19
Buchanan v. *Alexander*, 45 U.S. (4 How.) 20 (1845) 23
City of Houston v. *HUD*, 24 F.3d 1421 (D.C. Cir. 1994) 17, 18
Devlin Lumber & Supply Corp. v. *United States*, 488 F.2d 88 (4th Cir. 1973) 25
Dia Navigational Co. v. *Pomeroy*, 34 F.3d 1255 (3d Cir. 1994) 11, 15, 16, 17

Cases—Continued: Page

Eagle-Picher Indus., Inc. v. *United States*, 901 F.2d 1530 (10th Cir. 1990) 21
Equitable Surety Co. v. *McMillan*, 234 U.S. 448 (1914) 23
FDIC v. *Meyer*, 510 U.S. 471 (1994) 18
Hardaway Co. v. *United States Army Corps of Eng'rs*, 980 F.2d 1415 (11th Cir.), cert. denied, 510 U.S. 820 (1993) 25
Henningsen v. *United States Fidelity & Guaranty Co.*, 208 U.S. 404 (1908) 22
Hill v. *American Surety Co.*, 200 U.S. 197 (1906) 23
Hubbard v. *Administrator, EPA*, 982 F.2d 531 (D.C. Cir. 1992) 11, 14, 15, 16, 17
J.W. Bateson Co. v. *United States*, 434 U.S. 586 (1978) 23
Kennedy Elec. Co. v. *United States Postal Serv.*, 508 F.2d 594 (10th Cir. 1974) 22
Maryland Dep't of Human Resources v. *Department of Health & Human Servs.*, 763 F.2d 1441 (D.C. Cir. 1985) 13
McMann v. *Northern Pueblos Enters., Inc.*, 594 F.2d 784 (10th Cir. 1979) 25
Merritt v. *United States*, 267 U.S. 338 (1925) 21
Mitchell v. *United States*, 930 F.2d 893 (Fed. Cir. 1991) 12
North Star Alaska Hous. Corp. v. *United States*, 9 F.3d 1430 (1993) (en banc), on remand, 14 F.3d 36 (9th Cir.), cert. denied, 512 U.S. 1220 (1994) 21
Office of Personnel Management v. *Richmond*, 496 U.S. 414 (1990) 18
Pearlman v. *Reliance Ins. Co.*, 371 U.S. 132 (1962) 22
Sharp v. *Weinberger*, 798 F.2d 1521 (D.C. Cir. 1986) 21
United Elec. Corp. v. *United States*, 647 F.2d 1082 (Ct. Cl.), cert. denied, 454 U.S. 863 (1981) 25

Cases—Continued: Page

United States v. *Ansonia Brass & Copper Co.*, 218 U.S. 452 (1910) 23
United States v. *Mitchell*, 463 U.S. 206 (1983) 11
United States v. *Mottaz*, 476 U.S. 834 (1986) 12
United States v. *Munsey Trust Co.*, 332 U.S. 234 (1947) 23
United States v. *Sherwood*, 312 U.S. 584 (1941) 12
United States v. *Smith*, 324 F.2d 622 (5th Cir. 1963) 25
United States v. *Testan*, 424 U.S. 392 (1976) 18
Wabash Valley Power Ass'n v. *Rural Electrification Admin.*, 903 F.2d 445 (7th Cir. 1990) 21
Westbay Steel, Inc. v. *United States*, 970 F.2d 648 (9th Cir. 1992) 25
Wright v. *United States Postal Serv.*, 29 F.3d 1426 (9th Cir. 1994) 22
Zelman v. *Gregg*, 16 F.3d 445 (1st Cir. 1994) 21

Constitution and statutes:

U.S. Const. Art. I, § 9, Cl. 7 (Appropriations Clause) 18, 28
Act of Apr. 29, 1941, ch. 81, 55 Stat. 147 24
Act of June 3, 1955, Pub. L. No. 60, 69 Stat. 83 24
Act of Nov. 2, 1966, Pub. L. No. 89-719, Tit. I, § 105, 80 Stat. 1139 24
Act of Oct. 21, 1976, Pub. L. No. 94-574, § 1, 90 Stat. 2721 3
Act of Nov. 2, 1978, Pub. L. No. 95-585, 92 Stat. 2484 ..... 5, 24
Act of Oct. 13, 1994, Pub. L. No. 103-355, Tit. IV, 108 Stat. 3243:
§ 4104(b)(1), 108 Stat. 3342 5
§ 4104(b)(2), 108 Stat. 3342 24
Administrative Procedure Act (Act of June 11, 1946), ch. 324, 60 Stat. 237, 5 U.S.C. 551 *et seq.*:
§ 10(a), 60 Stat. 243:
5 U.S.C. 702 (1970) 2
5 U.S.C. 702 ..... *passim*

Statutes—Continued:	Page
§ 10(a)-(c), 60 Stat. 243:	
5 U.S.C. 702-704	6
5 U.S.C. 704	12
§ 10(e), 60 Stat. 243:	
5 U.S.C. 706	6
Federal Tort Claims Act:	
28 U.S.C. 1346(b)	16
28 U.S.C. 2671 *et seq.*	16
28 U.S.C. 2680(c)	17
Heard Act, ch. 280, § 1, 28 Stat. 278	23, 24
Miller Act (Act of Aug. 24, 1935), ch. 642, 49 Stat. 793, 40 U.S.C. 270a *et seq.*	4, 5, 24
40 U.S.C. 270a(a)	4, 24
40 U.S.C. 270a(a)(1)	5
40 U.S.C. 270a(a)(2)	5
40 U.S.C. 270b(b)	24
Small Business Act, § 8(a), 15 U.S.C. 637(a)	4
Tucker Act, 28 U.S.C. 1491	18
28 U.S.C. 1331	6
39 U.S.C. 401(1)	22
Miscellaneous:	
Administrative Procedure Act Amendments of 1976: Hearings Before the Subcomm. on Administrative Practice and Procedure of the Senate Comm. on the Judiciary, 94th Cong., 2d Sess. (1976)	27
D. Dobbs, *Handbook on the Law of Remedies* (1973)	13
H.R. Rep. No. 97, 53d Cong., 1st Sess. (1893)	23
H.R. Rep. No. 1656, 94th Cong., 2d Sess. (1976)	3, 21, 26, 27
S. Rep. No. 996, 94th Cong., 2d Sess. (1976)	3, 19, 26
Sovereign Immunity: Hearing Before the Subcomm. on Administrative Practice and Procedure of the Senate Comm. on the Judiciary, 91st Cong., 2d Sess. (1970)	3, 21
P. Strauss et al., *Gellhorn and Byse's Administrative Law: Cases and Comments* (9th ed. 1995)	14

In the Supreme Court of the United States

OCTOBER TERM, 1997

No.

THE UNITED STATES DEPARTMENT OF THE ARMY,
PETITIONER

v.

BLUE FOX, INC.

ON PETITION FOR A WRIT OF CERTIORARI TO THE UNITED STATES COURT OF APPEALS FOR THE NINTH CIRCUIT

PETITION FOR A WRIT OF CERTIORARI

The Solicitor General, on behalf of the United States Department of the Army, respectfully petitions for a writ of certiorari to review the judgment of the United States Court of Appeals for the Ninth Circuit in this case.

OPINIONS BELOW

The opinion of the court of appeals (App., *infra*, 1a-18a) is reported at 121 F.3d 1357. The opinion of the district court (App., *infra*, 21a-31a) is unreported, but can be found at 1996 WL 293363.

JURISDICTION

The judgment of the court of appeals was entered on August 25, 1997. A petition for rehearing was denied on November 7, 1997. App., *infra*, 19a-20a. By orders dated January 27, 1998, and February 26, 1998, Justice O'Connor extended the time within which to file a

petition for a writ of certiorari to and including April 6, 1998. The jurisdiction of this Court is invoked under 28 U.S.C. 1254(1).

STATUTORY PROVISION INVOLVED

The Administrative Procedure Act, 5 U.S.C. 702, provides in pertinent part as follows:

> A person suffering legal wrong because of agency action, or adversely affected or aggrieved by agency action within the meaning of a relevant statute, is entitled to judicial review thereof. An action in a court of the United States seeking relief other than money damages and stating a claim that an agency or an officer or employee thereof acted or failed to act in an official capacity or under color of legal authority shall not be dismissed nor relief therein be denied on the ground that it is against the United States or that the United States is an indispensable party. * * * Nothing herein (1) affects other limitations on judicial review or the power or duty of the court to dismiss any action or deny relief on any other appropriate legal or equitable ground; or (2) confers authority to grant relief if any other statute that grants consent to suit expressly or impliedly forbids the relief which is sought.

STATEMENT

1. As enacted in 1946, Section 10(a) of the Administrative Procedure Act (APA) entitled any "person suffering legal wrong because of agency action, or adversely affected or aggrieved by agency action within the meaning of a relevant statute," to judicial review of that action. Act of June 11, 1946, ch. 324, 60 Stat. 243 (codified at 5 U.S.C. 702 (1970)). As originally enacted, however, the APA did not expressly

waive the United States' sovereign immunity. Consequently, for decades the federal courts continued to develop and apply a highly complex—and sometimes unsatisfactory—body of law concerning the application of sovereign immunity to suits challenging agency action. See H.R. Rep. No. 1656, 94th Cong., 2d Sess. 4-8 (1976) (1976 House Report); S. Rep. No. 996, 94th Cong., 2d Sess. 4-7 (1976) (1976 Senate Report). As then Assistant Attorney General Antonin Scalia explained to Congress, by the 1970s, "[n]o one c[ould] read the significant Supreme Court cases on sovereign immunity * * * without concluding that the field is a mass of confusion." 1976 House Report at 6; 1976 Senate Report at 5.

In 1970, the Administrative Conference of the United States and the Administrative Law Section of the American Bar Association proposed that Congress simplify judicial challenges to agency action by amending 5 U.S.C. 702 to waive the United States' immunity to suits other than those seeking "money damages." See *Sovereign Immunity: Hearing Before the Subcomm. on Administrative Practice and Procedure of the Senate Comm. on the Judiciary*, 91st Cong., 2d Sess. 3 (1970) (introductory comments of Sen. Kennedy). Six years later, the proposal was enacted into law. Act of Oct. 21, 1976, Pub. L. No. 94-574, § 1, 90 Stat. 2721. Thus, 5 U.S.C. 702 in its current form continues to declare that persons suffering legal wrong or aggrieved by agency action within the meaning of a relevant statute are entitled to judicial review thereof. Now, however, it also provides that suits challenging agency action and "seeking relief other than money damages" shall not be dismissed on the ground that the suit is against the United States or that the United States is an indispensable party. See 5 U.S.C. 702.

2. In 1993, petitioner—the United States Department of the Army (Army)—contracted with Verdan Technology, Inc. (Verdan), to install a telephone switching system at an Army depot in Umatilla, Oregon. The final, modified contract price of $432,392.13 included the cost of constructing a facility to house the switching system and installation and testing of the telephone equipment.[1] Verdan, in turn, hired respondent Blue Fox, Inc., as a subcontractor on the project. In return for respondent's agreement to construct a concrete block building to house the telephone system and to install certain safety and support systems, Verdan agreed to pay respondent $186,347.80. App., *infra*, 3a-4a, 21a-22a.

a. Under the Miller Act, 40 U.S.C. 270a *et seq.*, a contractor like Verdan that performs "construction, alteration, or repair of any public building or public work of the United States" generally must post two types of bonds. 40 U.S.C. 270a(a). First, the contractor must post a "performance bond * * * for the protection of the United States" against defaults by the contractor. 40 U.S.C. 270a(a)(1). Second, it must post a "payment bond * * * for the protection of all persons supplying labor and material," 40 U.S.C. 270a(a)(2); the payment bond in effect guarantees payment by the prime contractor to subcontractors and suppliers on the federal project.[2]

[1] See App., *infra*, 2a-3a, 21a-22a. The contract between the Army and Verdan was a product of Small Business Administration (SBA) efforts through Section 8(a) of the Small Business Act, 15 U.S.C. 637(a). Under that provision, SBA has established a business development program for firms determined to be socially and economically disadvantaged. Through the Section 8(a) program, SBA contracts with government agencies to provide certain services or supplies, and then in turn subcontracts those contracts to eligible firms. App., *infra*, 2a. In this case, the Army awarded the telephone switching contract to SBA, and SBA in turn subcontracted with Verdan. *Id.* at 2a-3a, 21a-22a. SBA, the Army, and Verdan signed a tripartite agreement under which SBA subcontracted with Verdan for performance on the contract, and then delegated responsibility for administering the contract to the Army. *Id.* at 3a. Thus, the Army was responsible for paying the contract amount—$432,392.13—to Verdan, and SBA did not receive any funds in connection with the contract. *Ibid.*

b. Although the Army's original solicitation required the contractor to furnish payment and performance bonds if the contract price exceeded $25,000, the Army later treated the contract as a services contract for which no bond was required. App., *infra*, 22a. As a result, the Army's amended solicitation deleted any mention of a bond requirement, and Verdan did not post the Miller Act bonds. *Id.* at 3a, 22a. Respondent asserts that it was unaware that the bonds had not been posted until after it completed performance under its subcontract. *Ibid.*

Verdan paid respondent $139,761.66 of the $186,347.80 owed on its subcontract, leaving $46,586.14 unpaid. App., *infra*, 4a, 22a-23a. Respondent notified the Army that it had not been fully paid. *Id.* at 4a, 23a. After receiving those notices, the Army made two additional disbursements to Verdan, totaling $86,132.33. *Id.* at 4a-5a. The Army later terminated its contract with Verdan for various defaults, including failure to adhere to the contractual delivery schedule. *Id.* at 23a. At the time the Army termi-

[2] As originally enacted, the Miller Act required that bonds be obtained on contracts exceeding $2,000. Act of Aug. 24, 1935, ch. 642, 49 Stat. 793. In 1978, that figure was increased to $25,000. Act of Nov. 2, 1978, Pub. L. No. 95-585, 92 Stat. 2484. In 1994, after the events underlying this suit took place, the amount was increased to $100,000. Act of Oct. 13, 1994, Pub. L. No. 103-355, Tit. IV, § 4104(b)(1), 108 Stat. 3342.

nated the contract with Verdan, approximately $84,910.52 remained undisbursed on the contract. *Ibid.* That $84,910.52 had been designated for certain installation and testing tasks that were among those that Verdan had failed to complete. *Id.* at 23a.

The Army then modified an existing contract it had with Dynamic Concepts, Inc. (Dynamic), so that Dynamic would complete the Umatilla project. App., *infra*, 5a, 23a. Pursuant to that modification, the Army paid Dynamic $126,772.78. The Army used the undisbursed balance of $84,910.52 from the Verdan contract, plus approximately $42,000 from subsequent fiscal year funds, to pay for completion of the project. *Ibid.*

3. Respondent filed suit against Verdan for breach of contract and, in January of 1995, obtained default judgments against Verdan and its officers. See App., *infra*, 23a-24a. Respondent, however, alleges that it will not be able to collect on its judgment against Verdan. *Id.* at 35a-36a. Accordingly, in May of 1995, respondent filed suit against the Army, seeking to recover from it the $46,586.14 that Verdan owed on the subcontract.[3] Predicating jurisdiction on 28 U.S.C. 1331 and the APA, 5 U.S.C. 702-704, 706, App., *infra*, 34a, respondent sought an "equitable lien" on any funds from the Verdan contract not paid to Verdan, or on any funds available or appropriated for completion of the Umatilla project, and an order

[3] Although respondent also named SBA as a defendant, the district court granted summary judgment in SBA's favor because there was never an identifiable res under SBA's control to which an equitable lien could attach. App., *infra*, 31a. That ruling was affirmed on appeal. *Id.* at 12a-14a; see also *id.* at 5a n.3. Because there are no adverse legal rulings pending against SBA, the United States Department of the Army is the sole petitioner.

directing payment of those funds to it, plus attorney's fees and interest. *Id.* at 39a-40a. Respondent also sought an injunction to prevent the Army from paying any more money on the contract or the follow-on contract with Dynamic until respondent's unpaid bill was satisfied. *Id.* at 40a.[4] Respondent did not move for preliminary relief, however, and the Army eventually paid Dynamics all of the funds remaining from the Verdan contract, plus additional funds, once Dynamics completed its work. *Id.* at 5a n.3, 11a-12a.

4. On May 24, 1996, the district court granted summary judgment in the Army's favor. App., *infra*, 31a. The APA, the court observed, waives the government's immunity only with respect to relief other than money damages. "[T]he question is whether [respondent] seeks money damages for a loss suffered, or whether [respondent] seeks funds to which it is entitled by statute." *Id.* at 28a. Respondent premised its suit on the allegation that the Army had erred or acted unlawfully in failing to require Verdan to post a Miller Act bond. *Ibid.* But even if the Miller Act required that a bond be posted, the district court reasoned, the "Army had no contractual obligation or statutory obligation to pay [respondent]. The Miller Act neither places a duty on the government to insure that a bond is furnished, nor places the government and the subcontractor in privity of contract." *Id.* at 29a. As a result, the relief respondent was seeking did not constitute enforcement of a statutory obligation. Instead, the court concluded, it constituted an award of the "money damages [respondent] suffered

[4] In the alternative, respondent sought an injunction ordering the Army to pay $46,586.14 to SBA, App., *infra*, 39a, presumably on the theory that SBA would in turn pay the money to respondent. See note 1, *supra*.

when Verdan failed to pay [respondent] in full," and "[t]he waiver of sovereign immunity provided by the APA does not apply to the claim of [respondent] against the Army." *Id.* at 30a.

5. a. Respondent appealed and a divided panel of the Ninth Circuit reversed in relevant part. App., *infra*, 1a-18a. The majority acknowledged that the APA could provide the necessary waiver of sovereign immunity only if respondent sought relief other than money damages. *Id.* at 6a. Nonetheless, relying on the distinction between money damages and specific relief set forth in *Bowen* v. *Massachusetts*, 487 U.S. 879 (1988), the majority concluded that the monetary relief respondent sought constituted specific relief and not money damages. According to the Ninth Circuit:

> Here, [respondent] seeks an equitable lien only for the very thing to which it is entitled under the contract. [Respondent] does not seek any consequential damages to compensate losses suffered beyond the contract price. Therefore, the district court had jurisdiction to consider its claim under the APA.

App., *infra*, 7a.

Expanding on that analysis, the court of appeals analyzed the issue before it in two steps. First, turning to the scope of the waiver of immunity in Section 702, the court read *Bowen* as holding that Section 702 waives the United States' immunity against actions for "specific relief," which the court read as synonymous with "equitable relief." See App., *infra*, 8a ("[T]he APA waives immunity for equitable actions."); see also *id.* at 10a ("Any equitable rights held by subcontractors as against [the government entity] which may have been unenforceable where sovereign

immunity existed, became enforceable upon immunity being waived."). Second, the court examined whether a claim for an equitable lien constituted "equitable relief." *Id.* at 9a-11a. Based on its understanding of the nature of equitable liens, the court of appeals concluded that "equitable liens are properly characterized as equitable remedies." *Id.* at 10a.

Because it concluded that Section 702 waives the United States' immunity for all equitable actions, and that a claim to an equitable lien is an equitable action, the court of appeals held that a suit for an equitable lien falls within the scope of the waiver of immunity in Section 702. As the court of appeals described its holding: "Since the APA waives immunity for equitable actions, the district court had jurisdiction under the APA" to consider a claim for an equitable lien. App., *infra*, 8a; see *id.* at 10a ("[S]uch equitable liens are properly characterized as equitable remedies, rather than money damages."); *id.* at 1a ("[W]e hold that the Administrative Procedure Act permits [an] equitable lien claim against the Army because an action for specific performance for the payment of money is not an action for money damages.").

The court of appeals also rejected the district court's conclusion that a monetary remedy could be available as "specific relief" only where the plaintiff seeks to enforce a statutory right to payment. App., *infra*, 7a-8a. Citing *Aetna Casualty & Surety Co.* v. *United States*, 71 F.3d 475 (2d Cir. 1995), the court held that "there is no requirement in *Bowen* or the APA that the specific relief requested be statutorily granted. That is, a party need not rely upon a statute in order to obtain federal court jurisdiction [over a claim for monetary relief] under the APA." App., *infra*, 8a.

b. Judge Rymer dissented. App., *infra*, 14a-18a. "Never before," she observed, "has a court held that a subcontractor may sue an agency of the United States, which has not agreed to be sued, for contract monies that the prime contractor should have paid to the subcontractor but didn't." *Id.* at 14a. For decades, she pointed out, courts had uniformly rejected subcontractor claims against the government. *Ibid.* "[N]o matter how you slice [respondent's] claim," she explained, "it seeks funds from the treasury to compensate for the Army's failure to require Verdan to post a bond," and "the law is well settled that this may not be done unless the contracting agency has agreed to be sued." *Id.* at 14a-15a.

Congress, Judge Rymer further explained, had chosen to protect subcontractors through the Miller Act by requiring prime contractors to post payment bonds. App., *infra*, 15a. But where such bonds were not posted, she noted, "neither the Federal Tort Claims Act, the Miller Act, nor the Tucker Act, waives sovereign immunity to permit a subcontractor to sue the United States directly in its own right for monies the subcontractor should have received, but did not receive, from the prime contractor." *Ibid.*

Turning to the majority's conclusion that the APA waived immunity for equitable actions, Judge Rymer explained that, "in the absence of an agency waiver, subcontractors cannot achieve 'by indirection a result that they could not reach directly under the Miller Act.'" App., *infra*, 16a (citation omitted). "Unlike the majority," she observed, "I don't think it matters that the right asserted is *equitable*." *Id.* at 17a. What matters, she continued, is that the waiver contained in Section 702 of the APA can be applied only if "the government has a duty which can be specifically enforced." *Id.* at 16a. In this case, the government

"has none." *Ibid.* Although the Army should not have approved the Verdan contract without Verdan's posting of an adequate surety bond—and the absence of the bond is what "caused [respondent's] loss"—requiring the Army to pay money to respondent was simply one way of giving respondent the "money damages" remedy that the APA proscribes. *Id.* at 16a-17a.

REASONS FOR GRANTING THE PETITION

The court of appeals' conclusion that the APA waives the government's sovereign immunity for a subcontractor's claim for monies that a federal contractor should have paid, but did not pay, is unprecedented. The Ninth Circuit's decision misconstrues the language of 5 U.S.C. 702 and misreads this Court's decision in *Bowen* v. *Massachusetts*, 487 U.S. 879 (1988), in a manner that conflicts with the decisions of the District of Columbia Circuit in *Hubbard* v. *Administrator, EPA*, 982 F.2d 531 (1992) (en banc), and the Third Circuit in *Dia Navigational Co.* v. *Pomeroy*, 34 F.3d 1255 (1994). The decision below also has substantial adverse consequences for the United States. Broadly construed, it erroneously allows the APA to be used to justify monetary recovery against the government for tort-type or contract-type injuries whenever the requested remedy can be labeled "equitable." And it essentially nullifies longstanding precedents that have refused to allow unpaid subcontractors to recover from the government sums owed by their contractors.

A. "It is axiomatic that the United States may not be sued without its consent and that the existence of consent is a prerequisite for jurisdiction." *United States* v. *Mitchell*, 463 U.S. 206, 212 (1983). Moreover, when the government does consent to be sued, "the

terms of [the] waiver of sovereign immunity define the extent of the court's jurisdiction," *United States* v. *Mottaz*, 476 U.S. 834, 841 (1986), and such a waiver must be strictly construed, *United States* v. *Sherwood*, 312 U.S. 584, 590 (1941).

The APA, in 5 U.S.C. 702, provides a limited waiver of sovereign immunity. It entitles parties to "judicial review" of "agency action" if the action causes them "legal wrong," or "adversely affect[s]" or "aggrieve[s]" them "within the meaning of a relevant statute." And it waives the government's immunity to such a suit if the suit seeks relief "other than money damages." 5 U.S.C. 702.[5]

1. In *Bowen* v. *Massachusetts*, 487 U.S. 879 (1988), this Court considered the meaning of the phrase "money damages" in Section 702. There, the Secretary of Health and Human Services had issued a final order refusing to reimburse the State of Massachusetts for certain expenses under its Medicaid Program, and the State brought suit seeking to "set aside" that order. Rejecting the United States' contention that the State's suit was for "money damages," the Court explained that suits for "money damages" stand in contradistinction to suits which are in the nature of "an equitable action for specific relief." 487 U.S. at 893; see also *id.* at 897 (legislative history shows that phrase "money damages" was used

[5] Section 702 also provides additional exceptions to the waiver. For example, it provides that "[n]othing herein * * * confers authority to grant relief if any other statute that grants consent to suit expressly or impliedly forbids the relief which is sought." See note 16, *infra*. Further, 5 U.S.C. 704 provides for review under the APA only when no other statute provides a plaintiff with an adequate remedy. See *e.g.*, *Mitchell* v. *United States*, 930 F.2d 893, 896-897 (Fed. Cir. 1991).

in common law sense, as distinct from specific relief). The former provides the "victim with monetary compensation for an injury to his person, property, or reputation," while the latter merely forces the defendant to undertake action, such as the return of property to which the plaintiff is entitled. *Id.* at 893.

"The fact that a judicial remedy may require one party to pay money to another is not a sufficient reason to characterize the relief as 'money damages.'" *Bowen*, 487 U.S. at 893. As the Court observed:

> The term "money damages," 5 U.S.C. § 702, we think, normally refers to a sum of money used as compensatory relief. Damages are given to the plaintiff to *substitute* for a suffered loss, whereas specific remedies "are not substitute remedies at all, but attempt to give the plaintiff the very thing to which he was entitled."

Id. at 895 (quoting *Maryland Dep't of Human Resources* v. *Department of Health & Human Servs.*, 763 F.2d 1441, 1446 (D.C. Cir. 1985) (Bork, J.) (quoting in turn D. Dobbs, *Handbook on the Law of Remedies* 135 (1973))).

Applying that analysis, the Court in *Bowen* held that Massachusetts' suit was not for "money damages." Because Massachusetts' suit was brought "to enforce * * * the Medicaid Act, which provides that the Secretary 'shall pay' certain amounts for appropriate Medicaid services," it was "not a suit seeking money in *compensation* for the damage sustained by the failure of the Federal Government to pay as mandated; rather, it is a suit seeking to enforce the statutory mandate itself, which happens to be one for the payment of money." 487 U.S. at 900.

2. The D.C. Circuit has construed *Bowen* to require plaintiffs seeking monetary relief under the APA to show not merely that the relief they seek can be deemed "equitable," but that Congress expressed a clear intent to award them the funds to which they claim an entitlement. See *Hubbard* v. *Administrator, EPA*, 982 F.2d 531 (D.C. Cir. 1992) (en banc); see also P. Strauss et al., *Gellhorn and Byse's Administrative Law: Cases and Comments* 1112 (9th ed. 1995) (*Bowen* "has itself been narrowly interpreted by the courts of appeals, particularly the D.C. Circuit," citing *Hubbard*). Thus, in *Hubbard* the D.C. Circuit held that "back pay" is not available in an APA suit challenging an agency decision to deny the plaintiff employment. Rejecting analysis indistinguishable from that employed by the Ninth Circuit below, the D.C. Circuit declared that "[w]hat may qualify as an 'equitable remedy' * * * is not synonymous with specific relief." 982 F.2d at 537; see *ibid.* ("[T]he fact that cases in many contexts attach the 'equitable' label to back pay in no way contradicts the basic conclusion that back pay is still essentially a compensatory device."); see also *id.* at 539 (Randolph, J., joined by R.B. Ginsburg, J., concurring) ("[T]he line section 702 draws is not between actions at law and suits in equity.").

Instead, the D.C. Circuit held, monetary relief can be considered "specific relief" only if it gives the plaintiff the very thing to which he would otherwise be entitled from the government. 982 F.2d at 537 (relief is "specific" if it gives the plaintiff "the thing to which he was entitled"); *id.* at 538 ("Whether we or someone else call a remedy restitutionary, equitable or anything else, it fits within § 702's waiver only if it gives the plaintiff the specific thing to which he was originally entitled."). Noting the absence of any

statute entitling the plaintiff to compensation from the government for the time during which he was not a government employee—even if the act of denying him a job was wrongful—the D.C. Circuit declared that "*Bowen*'s holding * * * does nothing for [plaintiff's] cause. [Plaintiff's] basic claim is not for enforcement of any legal mandate that the EPA pay him a sum of money; rather, it is to force the EPA to offer him the job it denied him." *Id.* at 536.

The Third Circuit in *Dia Navigational Co.* v. *Pomeroy*, 34 F.3d 1255 (1994), adopted a similar interpretation of *Bowen*. Rejecting the plaintiff's claim that it was entitled to monetary relief despite the absence of a statutory entitlement, the court of appeals explained that "[t]he crucial distinction" between a suit for specific relief and one for money damages is that the former "seek[s] funds to which a statute allegedly entitles" the plaintiff, while the latter demands "'money for the losses . . . suffered by virtue of' the agency's failure to do that which it was required to do." *Id.* at at 1267 (quoting *Bowen*, 487 U.S. at 901). Thus, in *Dia* itself, the Third Circuit upheld the plaintiff's right to seek an injunction against an allegedly unlawful INS policy, but held that any claim for recovery of costs incurred as a result of that policy was barred by sovereign immunity. Explaining why the entire suit could not be characterized as one for specific relief, the court of appeals observed:

> [T]here is no statutory entitlement to these funds. Instead, Congress has explicitly given the INS the authority to promulgate regulations as it deems necessary * * * . As we view this case, the wrong that [plaintiff] has suffered is not the denial of money to which [the statute] entitles it,

> but rather the INS's failure to follow the appropriate procedures in implementing [the statute]. An award of money in these circumstances could only be characterized as a substitute for what ought to have been done, and therefore would constitute money damages. As such, [plaintiff's] claim is barred by the doctrine of sovereign immunity.

34 F.3d at 1267.

The Ninth Circuit here, in conflict with *Dia* and *Hubbard*, erroneously interpreted Section 702 and *Bowen* as declaring that the United States lacks sovereign immunity from any suit seeking "equitable" rather than "legal" relief. See App., *infra*, 8a-9a, 10a; pages 8-9, *supra*.[6] The Ninth Circuit further held that monetary relief can be considered specific relief—and thus not money damages—even if not based on a statute that mandates the money payment. App., *infra*, 8a ("there is no requirement in *Bowen* or the APA" that the right to the money "be statutorily granted").[7] *Dia* and *Hubbard* are both to the

[6] The Ninth Circuit's reasoning is, by contrast, indistinguishable from that adopted by the dissenting opinion in *Hubbard*. See 982 F.2d at 548 (Edwards, J., dissenting) ("Our conclusion that a back pay award to Hubbard would constitute equitable relief largely disposes of any question regarding sovereign immunity.").

[7] The court of appeals below relied upon *Aetna Casualty & Surety Co.* v. *United States*, 71 F.3d 475 (2d Cir. 1995), as support for this holding. App., *infra*, 8a. In *Aetna*, a surety sought damages under the Federal Tort Claims Act (FTCA), 28 U.S.C. 1346(b), 2671 *et seq.*, for the government's failure to offset, for the surety's benefit, a special tax refund the government owed to the surety's principal. The district court concluded it lacked jurisdiction and refused to allow the surety to amend its complaint to assert an APA claim. The Second

contrary. See *Dia*, 34 F.3d at 1267 (claim is for specific relief rather than money damages if it "seek[s] funds to which a statute allegedly entitles" the plaintiff); *Hubbard*, 982 F.2d at 536 (rejecting plaintiff's claim for back pay because his "basic claim is not for enforcement of any legal mandate that the EPA pay him a sum of money").[8]

Circuit affirmed the dismissal, holding that the claim was barred by the FTCA's exception for claims arising in respect of the assessment or collection of taxes, 28 U.S.C. 2680(c). It reversed the district court's denial of the motion to amend, however, reasoning that since the surety sought an injunction to force the government to perform an asserted legal obligation, the claim was not precluded by the APA's bar to claims for money damages. 71 F.3d at 479. It also refused to limit the holding of *Bowen* to cases where the duty to pay arises from a statute. *Ibid.* The case returned to district court, and we have been informed that proceedings there have been stayed pending the outcome of related bankruptcy proceedings.

[8] The Ninth Circuit's decision below also conflicts with the D.C. Circuit's decision in *City of Houston* v. *HUD*, 24 F.3d 1421, 1428 (1994). The Ninth Circuit held that the government is liable to respondent even though the funds for which respondent sought an equitable lien already had been spent. See App., *infra*, 11a-12a ("The fact that the Army has since paid out the monies to which the lien attached does not thwart [respondent's] equitable lien claim. * * * The Army cannot escape [respondent's] equitable lien by wrongly paying out funds to the prime contractor when it had notice of [respondent's] unpaid claims."). In *City of Houston*, in contrast, the D.C. Circuit held that once the *specific funds* sought by the plaintiff had been spent, obligated, or otherwise exhausted, an award of money from any other source would constitute a prohibited award of money damages. "Section 702 permits monetary awards only when, as in *Bowen*, such an award constitutes *specific relief*—that is, when a court orders a defendant to pay a sum owed out of a specific *res*. * * * An award of monetary relief from any source of funds [other than the *res* to which the plaintiff claims entitlement] would consti-

3. The D.C. Circuit's and Third Circuit's reading of *Bowen* and 5 U.S.C. 702 is consistent with Section 702's terms and this Court's precedents.

a. In *Office of Personnel Management* v. *Richmond*, 496 U.S. 414, 432 (1990), this Court reiterated that "funds may be paid out [of the Treasury] only on the basis of a judgment based on a substantive right to compensation based on the express terms of a specific statute."[9] That principle (which is so often articulated in the context of the Tucker Act, 28 U.S.C. 1491, see *United States* v. *Testan*, 424 U.S. 392, 401-402 (1976)) has frequently been applied to bar suits for a money judgment in the absence of a specific statutory provision providing for payment. See *FDIC* v. *Meyer*, 510 U.S. 471, 484 (1994) (agency's sue-and-be-sued clause does not, in and of itself, allow a claim for money without an entitlement from a source of substantive law); see also *City of Houston* v. *HUD*, 24 F.3d 1421, 1428 (D.C. Cir. 1994) (Appropriations Clause and Section 702's ban on actions for "money damages" collectively bar suits for monies obligated to other grantees or for which the appropriation has expired).

The interpretation of Section 702 and *Bowen* adopted by the D.C. and Third Circuits properly respects this longstanding rule. Simply put, before the courts may order the payment of funds from the Treasury as specific relief under the APA, they

---

tute money damages rather than specific relief, and so would not be authorized by APA Section 702." 24 F.3d at 1428.

[9] The Court explained that the purpose of the Appropriations Clause, Art. I, § 9, Cl. 7, is to "assure that public funds will be spent according to the letter of the difficult judgments reached by Congress as to the common good and not according to the individual favor of Government agents or the individual pleas of litigants." *Richmond*, 495 U.S. at 428.

must—as in all other contexts—locate an Act of Congress entitling the plaintiff to that relief. That principle is consistent with *Bowen*, which held that relief was available under the APA only because the relief "enforce[d] [a] statutory mandate * * * which happen[ed] to be one for the payment of money." 487 U.S. at 900; see also 1976 Senate Report at 19 ("The committee does not believe that enactment of [the proposed waiver of immunity in Section 702], which is procedural in nature and clarifies the jurisdiction of Federal courts while marginally expanding it, will require additional appropriation of funds to either the judiciary or the agencies.").

The Ninth Circuit's decision thus cannot be reconciled with the fundamental principle that the courts may order the payment of funds from the Treasury only on the basis of an Act of Congress entitling the plaintiff to those funds. Without appropriate attention to the scope of the waiver provided by Section 702, the Ninth Circuit below required the payment of funds from the Treasury to respondent based on its own view of appropriate principles of equity, regardless of whether Congress has, by law, provided for such a payment. Nothing in 5 U.S.C. 702 or *Bowen* authorizes such a dramatic expansion of access to the federal fisc.

b. The Ninth Circuit's decision also misapplies the distinction between "money damages" and "specific relief" set forth in *Bowen*. Under *Bowen*, the money damages awards that the APA prohibits are those awards "given to the plaintiff to *substitute* for a suffered loss"; in contrast, the "specific remedies" permitted by the APA "are not substitute remedies at all, but attempt to give the plaintiff the very thing to which he was entitled." 487 U.S. at 895.

Here, an equitable lien against government funds constitutes a "substitute for a suffered loss" rather than "specific relief" in the form of the "very thing to which [respondent] was entitled." Although the Ninth Circuit majority did not identify the "agency action" that allegedly caused respondent to suffer "legal wrong" or "adversely affected" respondent within the meaning of a relevant statute, 5 U.S.C. 702—and therefore did not even identify what agency action was being subjected to judicial review—the one government action it did identify was the Army's failure to require the posting of a payment bond that would have protected respondent from Verdan's default. But if requiring the posting of a bond is the duty the Army allegedly breached, the lien respondent seeks cannot be "specific relief"—and must be money damages—because it does not give respondent "the very thing to which [it] was entitled," *i.e.*, a bond from a qualified surety. Instead, the relief respondent seeks would provide a "substitute" remedy for that bond—that is, money damages—in the form of payment from the government. As the dissent below observed, "no matter how you slice [respondent]'s claim, it seeks funds from the treasury to compensate for the Army's failure to require Verdan to post a bond." App., *infra*, 14a (Rymer, J., dissenting). Respondent can identify no statute that entitles it to payment from the government in such circumstances. Because the government had no money-payment "duty which can be specifically enforced," respondent's suit for a monetary award was not a suit seeking "specific relief." *Id.* at 16a (Rymer, J. dissenting).

The Ninth Circuit's contrary conclusion does not withstand scrutiny. According to the majority, "[respondent] seeks an equitable lien only for the very

thing to which it is entitled under the contract," *i.e.*, payment on its contract. App., *infra*, 7a. But the contract to which the Ninth Circuit refers was between respondent and Verdan, and thus entitled respondent to payment from Verdan, not from the government. See *Merritt* v. *United States*, 267 U.S. 338 (1925) (no claim against the United States under contract absent privity between United States and plaintiff).[10] By requiring the government to pay when respondent was entitled to payment only from Verdan, the Ninth Circuit provided precisely the sort of "substitute" remedy barred as money damages under the APA.[11]

---

[10] Even if respondent did have a contractual relationship with petitioner, respondent still would not be able to obtain the relief it seeks under the APA. It is well established that claims for equitable relief based upon a contract are not cognizable under the APA because such relief is "impliedly forbid[den]" by the Tucker Act, and therefore barred by the final sentence of 5 U.S.C. 702. 1976 House Report at 13; see, *e.g.*, *North Star Alaska Hous. Corp.* v. *United States*, 9 F.3d 1430, 1432 (1993) (en banc) (APA does not afford district courts jurisdiction over equitable claims against the government based on contract rights, as opposed to statutory rights), on remand, 14 F.3d 36 (9th Cir.), cert. denied, 512 U.S. 1220 (1994); *Zelman* v. *Gregg*, 16 F.3d 445, 448 (1st Cir. 1994) ("equitable relief cannot be obtained on contract claims against the government"); *Eagle-Picher Indus., Inc.* v. *United States*, 901 F.2d 1530, 1532 (10th Cir. 1990) (APA's waiver of sovereign immunity "does not extend to actions founded upon a contract with the United States"); *Wabash Valley Power Ass'n* v. *Rural Electrification Admin.*, 903 F.2d 445, 452 (7th Cir. 1990) (effort to obtain specific performance of promise allegedly made by an agency not within district court's jurisdiction); *Sharp* v. *Weinberger*, 798 F.2d 1521, 1523 (D.C. Cir. 1986) (Scalia, J.) ("The sole remedy for an alleged breach of contract by the federal government is a claim for money damages.").

[11] The cases upon which the Ninth Circuit relied do not support the proposition that respondent's claim is within the

4. That respondent does not have an enforceable right to payment against the government is particularly clear in the present context. As the district court recognized, this case arises from the prime contractor's failure to post the payment bond required by the Miller Act. The Miller Act, however, does not give subcontractors any rights against the government. To the contrary, the plain terms of the Miller Act impose "no affirmative obligations on the government," *Arvanis* v. *Noslo Eng'g Consultants, Inc.*, 739 F.2d 1287, 1288 (7th Cir. 1984), cert. denied, 469 U.S. 1191 (1985); the only obligations it creates are imposed on the prime contractor.

---

scope of the APA's waiver of immunity. For example, in neither *Pearlman* v. *Reliance Insurance Co.*, 371 U.S. 132 (1962), nor *Henningsen* v. *United States Fidelity & Guaranty Co.*, 208 U.S. 404 (1908), was the United States a defendant, so the issue of sovereign immunity did not arise. The United States had agreed to part with the funds, and the Court was asked to decide only which private litigant had a superior entitlement. The remaining cases cited by the court of appeals, *Wright* v. *United States Postal Service*, 29 F.3d 1426 (9th Cir. 1994); *Kennedy Electric Co.* v. *United States Postal Service*, 508 F.2d 954 (10th Cir. 1974); and *Active Fire Sprinkler Corp.* v. *United States Postal Service*, 811 F.2d 747 (2d Cir. 1987), involved suits against the United States Postal Service pursuant to the Postal Service's sue-and-be-sued clause, 39 U.S.C. 401(1). Unlike the waiver in 5 U.S.C. 702, the waiver in Section 401(1) is not limited by the nature of the relief sought; accordingly, whether or not the relief sought in those cases constituted "money damages" was irrelevant. In any event, both *Active Fire Sprinkler* and *Wright* are inconsistent with the decision below, as they recognize the general rule that unpaid subcontractors cannot sue the government directly for the sums that their contractors should have, but did not, pay them. See *Active Fire Sprinkler*, 811 F.2d at 754 & n.6; *Wright*, 29 F.3d at 1430-1431.

The history of the Miller Act makes that clear as well. For more than a century, Congress and the courts had recognized that subcontractors have no enforceable rights against the government and cannot obtain workers' or materialmen's liens on federal property if they are not paid.[12] As this Court declared in *United States* v. *Munsey Trust Co.*, 332 U.S. 234, 241 (1947), "nothing is more clear than that laborers and materialmen do not have enforceable rights against the United States for their compensation."

To provide relief from the harsh effects of that rule without sacrificing the government's immunity to suit, Congress in 1894 enacted the Heard Act, ch. 280, § 1, 28 Stat. 278.[13] Under the Heard Act, any person entering into a formal contract with the United States for the construction or repair of a public building or public works was required to execute the "usual penal bond, with good and sufficient sureties,"

---

[12] See, *e.g.*, *Hill* v. *American Surety Co.*, 200 U.S. 197, 203 (1906) ("As against the United States, no lien can be provided upon its public buildings or grounds."); *Buchanan* v. *Alexander*, 45 U.S. (4 How.) 20, 21 (1845) (money retained by the government for the benefit of its employees may not be reached by employees' creditors unless Congress specifically authorizes it); see also H.R. Rep. No. 97, 53d Cong., 1st Sess. (1893) (finding that "there is no law now in existence for the protection of mechanics and material-men in this class of cases, as it is contrary to allow mechanics' or material-men's liens on public buildings or public works").

[13] *Hill*, 200 U.S. at 203 (The Heard Act was passed to mitigate the rule against creating liens on public property and "substitute[s] the obligation of a bond for the security which might otherwise be obtained by attaching a lien to the property of an individual."). Accord *United States* v. *Ansonia Brass & Copper Co.*, 218 U.S. 452, 471 (1910); *Equitable Surety Co.* v. *McMillan*, 234 U.S. 448, 455 (1914); *J.W. Bateson Co.* v. *United States*, 434 U.S. 586, 589 (1978).

and to "promptly make payments to all persons supplying him or them labor and materials in the prosecution of the work provided for in such contract." *Ibid.* An unpaid subcontractor was authorized to "bring suit in the name of the United States for his or their use and benefit against said contractor and sureties * * * *Provided*, [t]hat such action and its prosecutions shall involve the United States in no expense." *Ibid.*

In 1935, Congress repealed the Heard Act and replaced it with the Miller Act, ch. 642, 49 Stat. 793, 40 U.S.C. 270a *et seq.* The Miller Act, like the Heard Act, requires contractors on specified federal contracts to post a payment bond to protect subcontractors. 40 U.S.C. 270a(a). And the Miller Act, also like the Heard Act, affords unpaid subcontractors the right to sue on the payment bond "in the name of the United States for the use of the person suing," 40 U.S.C. 270b(b), without creating any rights in the subcontractor vis-à-vis the government. Indeed, Section 270b(b) expressly states that "[t]he United States shall not be liable for the payment of any costs or expenses of any such suit." While Congress has amended the Miller Act periodically, and has authorized specific agencies to waive Miller Act requirements under certain circumstances, see *e.g.*, Act of Apr. 29, 1941, ch. 81, 55 Stat. 147; Act of June 3, 1955, Pub. L. No. 60, 69 Stat. 83; Act of Nov. 2, 1966, Pub. L. No. 89-719, Tit. I, § 105, 80 Stat. 1139; Act of Nov. 2, 1978, Pub. L. No. 95-585, 92 Stat. 2484; Act of Oct. 13, 1994, Pub. L. No. 103-355, Tit. IV, § 4104(b)(2), 108 Stat. 3342, Congress has never altered the settled rule that subcontractors do not have enforceable rights against the United States for funds that their contractors failed to pay them.

In light of the plain terms and history of the Miller Act, courts of appeals have universally rejected attempts by unpaid subcontractors to seek recovery from the government, whether those claims were asserted under the FTCA,[14] the Tucker Act,[15] or general equitable principles. Thus, in *Automatic Sprinkler Corp. of America* v. *Darla Environmental Specialists*, 53 F.3d 181 (7th Cir. 1995), an unpaid subcontractor brought an action against the United States to recover monies that the government had retained on a contract with the dissolved contractor. Rejecting the claim on sovereign immunity grounds, the Seventh Circuit held:

> The principle of governmental immunity is simple: anyone who seeks money from the Treasury needs a statute authorizing that relief. * * *

---

[14] See *Hardaway Co.* v. *United States Army Corps of Eng'rs*, 980 F.2d 1415 (11th Cir.), cert. denied, 510 U.S. 820 (1993) (no FTCA claim by subcontractor for government's alleged negligent failure to investigate assets of surety); *Westbay Steel, Inc.* v. *United States*, 970 F.2d 648 (9th Cir. 1992) (no FTCA claim for negligent approval of bond sureties and no jurisdiction under FTCA to award an equitable lien); *Arvanis*, 739 F.2d at 1292 (rejecting FTCA claim based on government's failure to require Miller Act bond as attempt "to achieve by indirection a result that [subcontractors] could not reach directly under the Miller Act"); *McMann* v. *Northern Pueblos Enters., Inc.*, 594 F.2d 784, 785-786 (10th Cir. 1979) (same); *Devlin Lumber & Supply Corp.* v. *United States*, 488 F.2d 88, 89 (4th Cir. 1973) (per curiam) (same); *United States* v. *Smith*, 324 F.2d 622, 624-625 (5th Cir. 1963) (same).

[15] See *United Elec. Corp.* v. *United States*, 647 F.2d 1082, 1084 (Ct. Cl.) (subcontractors without contractual relationship with government cannot sue under Tucker Act, and Miller Act is not money-mandating statute for Tucker Act purposes), cert. denied, 454 U.S. 863 (1981).

> Automatic Sprinkler has not pointed to such a statute; none exists.

Id. at 182. Summarizing the relevant law, the court explained that "'when a prime contractor on a federal construction project fails to obtain a Miller Act payment bond and then defaults without paying his subcontractors . . . the hapless subcontractor, not the United States,' is left holding the bag." *Id.* at 182 (quoting *Arvanis*, 739 F.2d at 1288); see also *ibid.* ("Subcontractors must look exclusively to the general contractors (and the bonds) for payment. They cannot obtain liens on the federal projects and buildings, and they cannot collect directly from the Treasury.").

The Ninth Circuit's decision in this case—which holds that subcontractors may, under the APA, seek compensation from the government for funds owed to the subcontractor by the prime contractor—cannot be reconciled with this otherwise clear and uniform body of law. App., *infra*, 14a (Rymer, J., dissenting) ("Never before has a court held that a subcontractor may sue an agency of the United States, which has not agreed to be sued, for contract monies that the prime contractor should have paid to the subcontractor but didn't."). Nor can it be reconciled with the purpose of the APA, which was to leave in place limitations on monetary recovery against the United States. See 1976 House Report at 11 ("limitations on the recovery of money damages contained in the Federal Tort Claims Act, the Tucker Act, or similar statutes [are to be] unaffected" by the waiver of immunity provided in Section 702); 1976 Senate Report at 19 (waiver of immunity is "procedural in

nature" and thus will not "require additional appropriation of funds to either the judiciary or the agencies.").[16]

B. The decision below not only conflicts with decisions of this Court and other courts of appeals; it also raises questions of substantial importance because it affords plaintiffs a new category of previously unavailable monetary relief against the government. If plaintiffs need show only that the relief they seek—be it quantum meruit, restitution, or whatever—is usually considered "equitable" in order to bring suit

---

[16] Section 702 does not confer "authority to grant relief if any other statute that grants consent to suit expressly or impliedly forbids the relief which is sought." See, *e.g.*, *Block* v. *North Dakota*, 461 U.S. 273, 286 n. 22 (1983). The "implied" preclusion provided by Section 702 extends to "all statutes which grant consent to suit and prescribe particular remedies." 1976 House Report at 13. As then Assistant Attorney General Antonin Scalia explained to Congress before it enacted the waiver of immunity now contained in Section 702: "Because existing statutes have been enacted against the backdrop of sovereign immunity, [Section 702's exclusion of actions where another statute 'impliedly forbid[s]' them] will probably mean that in most if not all cases where statutory remedies already exist, these remedies will be exclusive; that is no distortion, but simply an accurate reflection of the legislative intent in these particular areas in which the Congress has focused on the issue of relief." *Administrative Procedure Act Amendments of 1976: Hearings Before the Subcomm. on Administrative Practice and Procedure of the Senate Comm. on the Judiciary*, 94th Cong., 2d Sess. 105 (1976). Here, Congress enacted the Miller Act against the backdrop of sovereign immunity. And it created an alternative remedy to suit against the government, consenting to suit by unpaid subcontractors in the name of the United States against the payment bond posted by the defaulting contractor. Under these circumstances, the remedy created by the Miller Act is "exclusive," and the attempt to create an alternative remedy against the government through the APA is "impliedly forbid[den]" within the meaning of Section 702.

for money under the APA, the APA will be used to remedy tort-type injuries in circumstances in which the FTCA itself limits relief, or contract-type remedies in circumstances where the Tucker Act does as well. In the instant case, *Hubbard*, and *Dia*, the plaintiffs attempted to invoke this Court's decision in *Bowen* to seek funds previously unavailable from the government. In contrast, *Bowen* itself concerned only which court should hear the statutory entitlement claim, and created no new entitlement to money. See, *e.g.*, U.S. Br. at 38-46, *Bowen* v. *Massachusetts*, No. 87-712; see also *id.* at 34-35. The D.C. Circuit in *Hubbard* and the Third Circuit in *Dia*—in conflict with the Ninth Circuit's decision below—properly rejected the plaintiffs' attempts to impose new monetary liability on the federal government under the APA.

Moreover, in the specific context of subcontractors on government projects, the decision below has significant adverse consequences for the government. It essentially nullifies longstanding precedent that previously refused to allow unpaid subcontractors to recover from the government, under the Miller Act, the FTCA, or the Tucker Act, the sums that their contractors owed, but did not pay, them. As this case makes clear, even where the project money has all been paid out, government agencies now for the first time must be concerned with whether new money will have to be found to pay unpaid subcontractors. Such an unprecedented—and unpredictable—financial burden on the United States Treasury in the absence of an Act of Congress consenting to such relief is fundamentally inconsistent with the Appropriations Clause of the Constitution and the statutory framework that has long governed government contracting

and subcontracting. Review by this Court therefore is warranted.

CONCLUSION

The petition for a writ of certiorari should be granted.

Respectfully submitted.

SETH P. WAXMAN
Solicitor General
FRANK W. HUNGER
Assistant Attorney General
EDWIN S. KNEEDLER
Deputy Solicitor General
JEFFREY A. LAMKEN
Assistant to the Solicitor General
BARBARA C. BIDDLE
MARY K. DOYLE
Attorneys

APRIL 1998

APPENDIX A

UNITED STATES COURT OF APPEALS
FOR THE NINTH CIRCUIT

No. 96-35648

BLUE FOX INC., A WASHINGTON CORPORATION, PLAINTIFF-APPELLANT

v.

SMALL BUSINESS ADMINISTRATION; THE UNITED STATES ARMY, DEFENDANTS-APPELLEES

Argued and Submitted: July 10, 1997
Decided: Aug. 25, 1997

Before: FERGUSON, REINHARDT, and RYMER, Circuit Judges.

FERGUSON, Circuit Judge:

Blue Fox appeals from a summary judgment in favor of the Small Business Administration and the Department of the Army. Blue Fox was a subcontractor which worked on a construction project at an Army Depot. After the prime contractor failed to pay Blue Fox in full, Blue Fox sought an equitable lien against funds held by the Army and Small Business Administration which has since been distributed to the prime contractor. Contrary to the district court, we hold that the Administrative Procedure Act permits Blue Fox's equitable lien claim against the Army because an action for specific performance for the payment of money is not an action for money damages. We affirm the district court's decision that

a lien cannot be enforced against the Small Business Administration because that agency never possessed nor controlled the contract fund.

I. FACTUAL BACKGROUND

Section 8(a) of the Small Business Act, 15 U.S.C. § 637(a), established a business development program for firms deemed to be socially and economically disadvantaged. The purpose of the 8(a) program is to help small businesses owned and controlled by socially and economically disadvantaged individuals and economically disadvantaged Indian tribes "to compete on an equal basis in the mainstream of the American economy." 13 C.F.R. § 124.1(a). This is accomplished by setting aside certain government procurement contracts to be awarded by the Administrator of the SBA to firms determined by the SBA to be socially and economically disadvantaged. The Small Business Act also authorizes SBA to provide financial assistance to support such small business concerns with regard to costs and technical and management assistance. 13 C.F.R. § 124.1(b).

In September, 1993, pursuant to Section 8(a) of the Small Business Act, 15 U.S.C. § 637(a), the United States Department of the Army awarded a contract to the United States Small Business Administration. The contract involved the installation and testing of a telephone switching system and the construction of a facility to house the switching system at the Umatilla Army Depot, Oregon. SBA agreed to furnish the supplies and services requested by the Army by subcontracting with Verdan Technology, Inc.

The Army, SBA, and Verdan then signed a tripartite agreement. Under the terms of the contract, SBA

delegated responsibility for administering the contract back to the Army. Thus, Verdan was to be paid directly by the Army. The SBA did not receive any funds in connection with the contract, the total amount of which was $432,392.13.

The original solicitation issued by the Army required the contractor to furnish payment and performance bonds if the contract exceeded $25,000. However, the Army later amended the solicitation, deleting the bond requirements. Defendants now concede that the Verdan contract was subject to the Miller Act, 40 U.S.C. §§ 270a-270d.[1] However, SBA did not grant an exemption to Verdan from Miller Act bond requirements under 13 C.F.R. § 124.305 (1990), which enumerated requirements concerning SBA control of contract funds and notice to subcontractors in the event that SBA granted an exemption to the Miller Act bond requirement.[2]

---

[1] The Miller Act provides that before any contract exceeding $25,000 for the construction, alteration, or repair of any public building or public work of the United States is awarded to a contractor, that contractor shall furnish both a payment bond and a performance bond "for the protection of the United States." 40 U.S.C. § 270a. The purpose of the Act "is to protect those who would have materialmen's and workmen's liens under state law if they were not working on a structure exempt as a federal public work or building." *United Bonding Ins. Co. v. Catalytic Constr. Co.*, 533 F.2d 469, 473 (9th Cir. 1976).

[2] 13 C.F.R. § 124.305 (1990) outlined the conditions upon which the SBA could exempt an 8(a) participant from any payment and performance bonds required by the Miller Act. Subsection (d) of that section lists several precautions that were to be taken to secure payment to subcontractors. For example:

Verdan entered into a subcontract with Blue Fox, Inc., whereby Blue Fox agreed to construct a concrete block building to house the switching system and install several other specific items of the contract. The total cost of the work to be performed by Blue Fox was $186,347.80.

Blue Fox did not know until it had completed its performance under the contract that Verdan had not furnished a payment or performance bond. Verdan failed to pay Blue Fox its full contract price—the sum of $46,586.14 remained due. Blue Fox informed the Army and SBA in writing on May 26, 1994, and again on June 15, 1994, that it had not been fully paid. The Army disbursed a total of $86,132.33 to Verdan between July 5, 1994 and October 11, 1994.

---

(2) There must be established a special bank account in an institution insured by the Federal Deposit Insurance Corporation (FDIC), into which the procuring agency will deposit all payments relating to the performance of the contract, or, in the alternative, the procuring agency, at its option, shall provide for direct disbursement of contract proceeds to suppliers, subcontractors, laborers and others.

(3) All disbursements from any special bank account established shall be subject to the approval and counter signature by SBA. . . .

(4) The 8(a) contractor must notify persons supplying it with materials or labor in writing that the contract is exempt from the Miller Act's bonding requirements and must also notify such suppliers in writing that SBA will not be liable for payment for materials or labor. The 8(a) contractor must obtain a written acknowledgment . . . and such acknowledgment(s) must be in SBA's possession prior to award of the contract where practicable, and, in all instances prior to payment of invoices.

On January 3, 1995, the Army terminated the contract for default because Verdan failed to adhere to the contract's delivery schedule and to submit required contractor Data Requirement Lists. In its notice of intention to terminate the contract, the Army indicated that one of its "most severe items of concern" was Verdan's failure to pay Blue Fox.

After the termination of the Verdan contract, the Army chose Dynamic Concepts, Inc. to finish the uncompleted portion of the work, under an existing contract between the Army and Dynamic. This contract did not include the SBA as a party. The modification contract with Dynamic was for $126,772.78 and was partially funded with the undisbursed balance on the Verdan contract, $84,910.52.[3]

Blue Fox obtained a default judgment in the Tribal Court of the Yakima Indian Nation against Verdan and its officers. Blue Fox asserts that it is unlikely to collect on these judgments because existing liens against Verdan precede Blue Fox's judgment and the judgment exceeds the officers' individual net worths.

In this litigation, the district court denied Plaintiff's motion for summary judgment and granted Defendant's motion for summary judgment. The court held that it did not have jurisdiction over Blue

---

[3] The Army did not authorize payment to Dynamic for its work in completing the project until July 27, 1995, two months after Blue Fox filed this action in district court, asking *inter alia*, that the court enjoin Defendants from paying any further moneys or making any payments from funds available or appropriated for a follow-on contract for completion of the Umatilla Army Depot Electronic Switching System project, until Plaintiff's unpaid bill is satisfied.

Fox's claim against the Army because the Administrative Procedure Act did not constitute a waiver of sovereign immunity in this case. Additionally, the court held that it could not grant an equitable lien against SBA because there had been no *res* in SBA's possession and control to which an equitable lien could attach.

II. DISCUSSION

We review questions involving principles of sovereign immunity *de novo*. *United States v. Woodley*, 9 F.3d 774, 781 (9th Cir. 1993). A grant of summary judgment is reviewed *de novo*. *Bagdadi v. Nazar*, 84 F.3d 1194, 1197 (9th Cir. 1996).

A. *Equitable Lien Claim Against the Army*

The district court held that Blue Fox's suit against the Army is barred by the doctrine of sovereign immunity. However, sovereign immunity against federal agencies has been waived as to suits "seeking relief other than money damages," under the Administrative Procedure Act, 5 U.S.C. § 702 ("APA"). The Supreme Court has held that monetary relief is available under the APA when it takes the form of specific relief rather than compensatory damages. *Bowen v. Massachusetts*, 487 U.S. 879, 893, 108 S.Ct. 2722, 2731, 101 L.Ed.2d 749 (1988). In *Bowen*, the Supreme Court quoted from Judge Bork's opinion in *Maryland Department of Human Resources v. Department of Health and Human Services*, 763 F.2d 1441, 1446 (D.C. Cir. 1985), to explain the scope of the APA waiver of immunity for suits seeking other than money damages:

> "We begin with the ordinary meaning of the words Congress employed. The term 'money damages,' 5 U.S.C. § 702, we think, normally refers to a sum of money used as compensatory relief. Damages are given to the plaintiff to *substitute* for a suffered loss, whereas specific remedies 'are not substitute remedies at all, but attempt to give the plaintiff the very thing to which he was entitled.' D. Dobbs, *Handbook on the Law of Remedies* 135 (1973). Thus, while in many instances an award of money is an award of damages, '[o]ccasionally a money award is also a specie remedy.' *Id.* Courts frequently describe equitable actions for monetary relief under a contract in exactly those terms."

Bowen, 487 U.S. at 895, 108 S.Ct. at 2732. Here, Blue Fox seeks an equitable lien only for the very thing to which it is entitled under the contract. Blue Fox does not seek any consequential damages to compensate losses suffered beyond the contract price. Therefore, the district court had jurisdiction to consider its claim under the APA.

1. APA Waiver Not Limited to Statutory Rights

The district court erred in assuming that because Blue Fox sought monetary relief and its right was not statutorily derived, such relief constituted "money damages" and was excluded from the waiver of sovereign immunity contained in the Administrative Procedure Act. The district court characterized the issue as a choice between an action for damages or an action for payment of money to which Blue Fox was *statutorily* entitled. Because the Miller Act does not provide a remedy for subcontractors against the government, the district court held that nonstatutory remedies were barred and the APA could not apply to

waive immunity. However, there is no requirement in *Bowen* or the APA that the specific relief requested be statutorily granted. That is, a party need not rely upon a statute in order to obtain federal court jurisdiction under the APA. *See Aetna Casualty and Surety Co. v. United States*, 71 F.3d 475 (2nd Cir. 1995) (APA waived sovereign immunity against subrogation claim because surety's right to subrogation, arising by operation of law, was equitable and therefore included in APA waiver). Although *Bowen* itself was concerned with funds to which Massachusetts was entitled by statute, there is nothing in that opinion that suggests the APA's waiver of immunity is limited to suits brought under another statute. Thus, the district court erred in assuming that because Blue Fox was not entitled to relief under the Miller Act, its equitable lien claim was impermissible under the APA.

2. An Equitable Lien Claim is Not an Action for Damages

This circuit has recognized subcontractors' equitable rights against the government where the subcontractor was not paid by the prime contractor, the government had notice, and the government did not pay the subcontractor or withhold payment to the prime contractor. *Wright v. United States Postal Service*, 29 F.3d 1426 (9th Cir. 1994). The Army has conceded that Blue Fox would have an equitable lien claim, i.e. a non-damages claim, if a private party, rather than a government agency had contracted with Verdan. The fact that the Army is the defendant does not change the nature of the claim, but only requires analysis of the Army's immunity. Since the APA waives immunity for equitable actions, the district

court had jurisdiction under the APA. Below we reconstruct a brief history of the right asserted by Blue Fox in order to trace its roots in equity.

The Suretyship Cases—Equitable Right of Subrogation

In *Henningsen v. United States Fidelity & Guaranty Co.*, 208 U.S. 404, 28 S.Ct. 389, 52 L.Ed. 547 (1908), the Court held that a surety had an equitable right of subrogation against the United States because it had "paid the laborers and material-men, and thus released the contractor from his obligations to them, and to the same extent released the Government from all equitable obligations to see that the laborers and supplymen were paid." *Id.* at 410, 28 S.Ct. at 391. The surety's right of subrogation was found to be superior to that of a bank which had loaned money to the contractor to finish the project because the surety was bound by contract to pay the subcontractor.

The equitable right of subrogation by a surety has been extended in a number of cases. *See e.g. Pearlman v. Reliance Ins. Co.*, 371 U.S. 132, 83 S.Ct. 232, 9 L.Ed.2d 190 (1962) (Miller Act does not alter surety's equitable right of subrogation which arose out of surety's payment of laborers and materialmen in accordance with bond agreement); *Aetna Casualty*, 71 F.3d 475 (APA waived sovereign immunity against subrogation claim because surety's right to subrogation, arising out of payments to coal mine employees suffering from black lung disease, was equitable and therefore included in APA waiver).

Extension to Equitable Rights in Subcontractors

The *Henningsen* line of cases decree that the doctrine of subrogation is an equitable one. Blue Fox does not assert a right of subrogation against the Army. However, following the suretyship cases, courts have recognized subcontractors' equitable rights against government agencies in situations where a surety who paid the subcontractor would have had a equitable right of subrogation against the government. *See e.g. Wright*, 29 F.3d 1426; *Active Fire Sprinkler Corp. v. United States Postal Service*, 811 F.2d 747 (2d Cir. 1987); *Kennedy Electric Co. v. United States Postal Service*, 508 F.2d 954 (10th Cir. 1974). The question presented in this appeal is whether these equitable rights are enforceable under the APA.

In *Wright*, we held that subcontractors could institute actions to establish equitable liens against the U.S. Postal Service. It was clear in *Wright* that such equitable liens are properly characterized as equitable remedies, rather than money damages. In recognizing that the Miller Act's provision of a remedy to sue on the bond did not preclude the assertion of an equitable lien, we quoted approvingly from a Second Circuit case that presented a similar question:

> 'Prior to the waiver of immunity, subcontractors possessed an equitable right . . . , but apparently lacked a remedy due to immunity. *Any equitable rights held by subcontractors as against [the] USPS, which may have been unenforceable where sovereign immunity existed, became enforceable upon immunity being waived.*'

Wright, 29 F.3d at 1430 (quoting *Active Fire*, 811 F.2d at 754).

The Army claims the Postal Service cases are inapposite because they rely on the Postal Reorganization Act, 39 U.S.C. § 401(a) (1982), which authorized the U.S. Postal Service to "sue and be sued," and therefore did not speak to the ability of subcontractors to sue under the APA. However, the Postal Service Cases are relevant because although the waiver of sovereign immunity is found in the Postal Reorganization Act, they recognize non-Miller Act claims against federal agencies for equitable liens as equitable in nature. Since such equitable liens are not actions for "money damages," they are allowed by the APA's waiver of sovereign immunity as well.[4]

3. Equitable Lien Attached Upon Notice to Army of Blue Fox's Non Payment

"An equitable lien can be established and enforced only if there is some property which is subject to the lien." Restatement of Restitution § 161, comment e (1937). Blue Fox gave notice to the Army on May 26, 1994 and June 15, 1994 that it had not been fully paid. The Army subsequently paid Verdan $86,132.33 before

---

[4] In *Active Fire*, the court noted that there was a long line of cases that characterize the Miller Act as the only remedy for subcontractors in a government building contract. *Active Fire*, 811 F.2d at 754. The government's brief similarly emphasizes broad language from *Arvanis v. Noslo Eng'g Consultants, Inc.*, 739 F.2d 1287, 1288 (7th Cir. 1984) (if prime contractor fails to obtain a payment bond, the subcontractor, rather than the government, is "left holding the bag.") However, none of these cases considered an equitable lien theory, and as we have previously recognized, "Nothing in the Miller Act evinces a legislative intent to limit remedies available to subcontractors." *Wright*, 29 F.3d at 1431.

terminating the contract. Thus, at the time the Army received notice from Blue Fox, it retained funds to which the equitable lien attached. The fact that the Army has since paid out the monies to which the lien attached does not thwart Blue Fox's equitable lien claim. In the suretyship context, the Federal Claims Court has noted:

> where the government has on hand contract funds owing for work done and is alerted . . . to the possibility of unpaid materialmen's claims . . . it may not dispense those funds to the contractor—at least not without running the distinct risk of having to pay twice.

Transamerica Premier Ins. Co. v. U.S., 32 Fed. Cl. 308, 314 (1994). The Army cannot escape Blue Fox's equitable lien by wrongly paying out funds to the prime contractor when it had notice of Blue Fox's unpaid claims.

B. *Equitable Claim Against SBA*

The district court granted the SBA's motion for summary judgment because it found that, as the Army had sole possession and control over the contract and made all payments to Verdan, there was no *res* or fund which the SBA controlled or possessed. Because an equitable lien may only exist where there is a *res* to which it attaches, and because SBA did not have possession or control of any contract funds, we affirm the district court.

This is a somewhat atypical case. The Small Business Act provides opportunities for socially and economically disadvantaged businesses through SBA recruitment, support, and loans. 15 U.S.C. § 636. Thus, the SBA usually plays a protective and supportive

role to the small business which is awarded a contract with a governmental agency.[5] However, in this case, the SBA delegated nearly all responsibility for the contract administration to the Army, and abdicated any protective role toward Verdan and the subcontractors. Thus, while the SBA ordinarily would have at least constructive possession of contract funds to which an equitable lien could attach, SBA's delegation of responsibility to the Army, another government agency which itself may be held liable, requires a different result.

Blue Fox argues that the SBA had the opportunity, authority, and duty to intervene, and therefore should be liable for an equitable lien. Blue Fox correctly observes that SBA was largely responsible for the Army's withdrawal of its Miller Act requirement in the tripartite contract.[6] In addition, SBA did not conform to regulations in place at the time of the contract which would have required the SBA to admin-

---

[5] "It is the declared policy of the Congress that the Government should aid, counsel, assist, and protect, insofar as is possible, the interests of small-business concerns. . . ." 15 U.S.C. § 631(a), Declaration of Policy.

[6] Blue Fox provided evidence of the SBA's conscious avoidance of the Miller Act requirements in the form of notes of telephone conversations within the SBA. The notes recorded a conversation between officers of the SBA and the Army in which they discussed the need for a bond and the fact that "Verdan doesn't have the experience to get a bond in this area." The Army official explained that she was advised by "Ms. Witty, out of the SBA office," that "in order to protect the government's interest, [they should] require that Verdan show the government evidence that their sub[contractor] had bonded the construction portion of the contract." However, neither party has claimed that Blue Fox was ever required to acquire a bond on the construction portion of the contract.

ister a special bank account upon the waiver of Miller Act requirements. Although these actions show SBA's responsibility and culpability for the harm Blue Fox suffered in this case, the fact remains that SBA did not have possession of a *res* to which an equitable lien could attach. Thus, although we agree with Blue Fox that SBA did not fulfill its statutory duties, an equitable lien theory cannot provide Blue Fox with relief against the SBA.

CONCLUSION

For the foregoing reasons, the district court decision is **REVERSED IN PART** and **AFFIRMED IN PART** and **REMANDED** for further proceedings consistent with this opinion. Blue Fox is entitled to its costs on appeal.

RYMER, Circuit Judge, concurring in part and dissenting in part:

Never before has a court held that a subcontractor may sue an agency of the United States, which has not agreed to be sued, for contract monies that the prime contractor should have paid to the subcontractor but didn't. It has been the law for decades that subcontractors cannot enforce a lien on government property unless the government has waived sovereign immunity. Yet, the majority now says that a district court has jurisdiction to consider a subcontractor's claim for an equitable lien under the Administrative Procedure Act, because it is not an action for money damages but "an action for specific performance for the payment of money." Maj. op. at 1358. However, no matter how you slice Blue Fox's claim, it seeks funds from the treasury to compensate for the Army's failure to require Verdan to post a bond. Since the law is

well settled that this may not be done unless the contracting agency has agreed to be sued, I dissent.

Congress chose to protect those who work on government property (who would otherwise have materialmen's and workmen's liens for work on non-government property) primarily through the Miller Act, by requiring contractors to furnish a payment and performance bond, instead of by permitting subcontractors to enforce liens through an overarching waiver of sovereign immunity. The Miller Act gives subcontractors the right to sue on the bond "in the name of the United States for the use of the person suing." 40 U.S.C. § 270b(b). But neither the Federal Tort Claims Act, the Miller Act, nor the Tucker Act, waives sovereign immunity to permit a subcontractor to sue the United States directly in its own right for monies the subcontractor should have received, but did not receive, from the prime contractor. *See Westbay Steel, Inc. v. United States*, 970 F.2d 648, 650-51 (9th Cir. 1992) (FTCA); *Arvanis v. Noslo Eng'g Consultants, Inc.*, 739 F.2d 1287, 1289-90 (7th Cir. 1984) (Miller Act); *United Elec. Corp. v. United States*, 227 Ct.Cl. 236, 647 F.2d 1082, 1087 (1981) (Tucker Act). As Judge Easterbrook recently observed for the Seventh Circuit, "[W]hen a prime contractor on a federal construction project fails to obtain a Miller Act payment bond and then defaults without paying his subcontractors . . . the hapless subcontractor, not the United States, is left holding the bag." *Automatic Sprinkler Corp. v. Darla Envt'l Specialists, Inc.*, 53 F.3d 181, 182 (7th Cir. 1995). Whether felicitous or not, this has been the conventional wisdom for at least fifty years. *See United States v. Munsey Trust Co.*, 332 U.S. 234, 241, 108 Ct.Cl. 765, 67 S.Ct.

1599, 1602, 91 L.Ed. 2022 (1947) ("[N]othing is more clear than that laborers and materialmen do not have enforceable rights against the United States for their compensation.").

For sure, we indicated in *Wright v. United States Postal Service*, 29 F.3d 1426 (9th Cir. 1994), that equitable liens may be enforced, like other remedies available to subcontractors may be pursued, when there is a specific waiver of immunity as there is, for example, for the Postal Service, in the Postal Reorganization Act, 39 U.S.C. § 401(1). However, in the absence of an agency waiver, subcontractors cannot achieve "by indirection a result that they could not reach directly under the Miller Act." *Westbay*, 970 F.2d at 651 (quoting *Arvanis*, 739 F.2d at 1292); *cf. Wright*, 29 F.3d at 1428 (specific waiver in Postal Reorganization Act); *Active Fire Sprinkler Corp. v. United States Postal Service*, 811 F.2d 747, 754 (2d Cir. 1987) (same); *J.C. Driskill, Inc. v. Abdnor*, 901 F.2d 383, 386 (4th Cir. 1990) (waiver of sovereign immunity under Small Business Act not broad enough to support an equitable lien claim by a subcontractor against the SBA).

This is just what the majority has managed to allow. It reasons that the APA waiver recognized in *Bowen v. Massachusetts*, 487 U.S. 879, 108 S.Ct. 2722, 101 L.Ed.2d 749 (1988), is not limited to statutory rights, but whether that is so or not is beside the point unless the government has a duty which can be specifically enforced. Here, it has none. Under the Miller Act there is no question the Army should not have approved the Verdan contract without ensuring that there was an adequate surety bond, but its failure to do so is not actionable. *Westbay*, 970 F.2d at 650 (citing authorities). The absence of a bond is

precisely what caused Blue Fox's loss—or, put another way, gave rise to its asserted equitable lien against the retainage—in this case. Unlike the majority, I don't think it matters that the right asserted is *equitable*, *see Pearlman v. Reliance Ins. Co.*, 371 U.S. 132, 141, 83 S.Ct. 232, 236, 9 L.Ed.2d 190 (1962), because equitable rights held by subcontractors become *enforceable* only when immunity is waived by the contracting agency. *See Wright*, 29 F.3d at 1428; *Active Fire*, 811 F.2d at 754; *United Elec. Corp.*, 647 F.2d at 1086. Otherwise, the Miller Act provides the remedy available to subcontractors for contractor defaults.

> As the Seventh Circuit has remarked:
>
> The result is . . . unjust. A subcontractor who fulfills his part of the bargain should not suffer because the prime contractor defaulted, and the government contracting officer had not insisted on compliance with the Miller Act. We agree that there is a practical problem (how widespsread we do not know) that is not addressed by the Miller Act, but that is a problem that can only be addressed, and redressed, by Congress.

Arvanis, 739 F.2d at 1293. Because Congress has not waived the Army's sovereign immunity, I dissent from Part IIA of the majority opinion, and because even assuming Congress has waived the SBA's immunity to be sued for an equitable lien[1] there is no

---

[1] *Compare Driskill*, 901 F.2d at 386 (subcontractor cannot sue SBA for equitable lien), *with ATC Petroleum, Inc. v. Sanders*, 860 F.2d 1104, 1113 (D.C. Cir. 1988) (subcontractor can sue the SBA for an equitable lien).

fund to which Blue Fox can lay claim, I concur in the result of Part IIB.[2]

[2] As the SBA never possessed contract funds, there has never been a *res* to which an equitable lien might attach. In my view, that is dispositive of the legal issue before us, and so I do not join the majority's discussion of the SBA's culpability.

APPENDIX B

UNITED STATES COURT OF APPEALS
FOR THE NINTH CIRCUIT

No. 96-35648

D.C. No. CV 95-00612-HJF

BLUE FOX, INC., A WASHINGTON CORPORATION,
PLAINTIFF-APPELLANT

v.

SMALL BUSINESS ADMINISTRATION;
THE UNITED STATES ARMY,
DEFENDANTS-APPELLEES

[Filed: Nov. 7, 1997]

ORDER

Before: FERGUSON, REINHARDT, and RYMER, Circuit Judges.

Judge Ferguson and Judge Reinhardt have voted to deny the petition for rehearing. Judge Rymer has voted to grant the petition.

Judge Ferguson has recommended rejection of the en banc suggestion. Judge Reinhardt has voted to deny the suggestion. Judge Rymer has voted to accept the suggestion.

The full court has been advised of the suggestion for rehearing en banc and no judge of this court has

requested a vote on the suggestion for rehearing en banc. Fed. R. App. P. 35.

The petition for rehearing is denied and the suggestion for rehearing en banc is rejected.

APPENDIX C

IN THE UNITED STATES DISTRICT COURT
FOR THE DISTRICT OF OREGON

Civil No. 95-612-FR

BLUE FOX, INC., A WASHINGTON CORPORATION,
PLAINTIFF

v.

THE UNITED STATES SMALL BUSINESS ADMINISTRATION; AND THE UNITED STATES DEPARTMENT OF THE ARMY, DEFENDANTS

[Filed: May 24, 1996]

OPINION

FRYE, Judge:

The matters before the court are the plaintiff's motion for summary judgment (#18) and the defendants' motion for summary judgment (#26).

UNDISPUTED FACTS

On September 29, 1993, pursuant to Section 8(a) of the Small Business Act, 15 U.S.C. § 637(a), the defendant, the United States Department of the Army (the Army), awarded a contract, No. DAEA08-93-C-0056, to the defendant, the United States Small Business Administration (the SBA). The SBA in turn awarded the contract to Verdan Technology, Inc. (Verdan), an eligible Section 8(a) contractor. Under the terms of the contract between the SBA and Verdan, Verdan

agreed to upgrade the telecommunications capability of the Army Depot in Umatilla, Oregon. The contract between the SBA and Verdan had two phases: (1) the construction of a building to house telephone switching equipment; and (2) the installation, testing and putting on-line of the equipment.

Verdan entered into a subcontract with the plaintiff, Blue Fox, Inc. (Blue Fox), whereby Blue Fox agreed to construct a 20 x 25 foot concrete block building in which to house the switching system; to install a cable vault underneath the building; and to provide all of the electrical systems, the fire suppression/detection systems, the air conditioning/heating systems, and the structural details of the concrete block building. The cost of the work to be performed by Blue Fox was $186,347.80. This sum represented 43% of all of the funds received by Verdan from the SBA.

Although the Army designated the contract between the Army and the SBA under Standard Industrial Classification Code 4813, Telephone Communications, the Army treated the contract as a service contract, rather than a construction contract. Because the Army treated the contract as a service contract rather than a construction contract, Verdan was not required to furnish, and it did not furnish, a payment or performance bond as required by the Miller Act, 40 U.S.C. § 270a(a)(2), for contracts for the construction of public buildings. Blue Fox did not know until it had completed its performance under the contract that Verdan had not furnished a payment or performance bond. Pursuant to the terms of the contract, the Army made all payments directly to Verdan. Verdan did not pay Blue Fox the sum of $46,586.14, which was

due on its contract with Blue Fox. Blue Fox informed the Army and the SBA in writing on May 26, 1994, and again on June 15, 1994, that it had not been paid.

On January 3, 1995, the Army terminated its contract with Verdan and the SBA because of Verdan's failure to adhere to the delivery schedule contained in the contract and to submit Contractor Data Requirement lists. At the time that the Army terminated its contract with Verdan, it had disbursed $348,000.00 to Verdan. Of that amount, $269,481.35 was disbursed to Verdan for site preparation and the construction of the housing facility. No funds were held back or retained under the contract.

At the time that the Army terminated its contract with Verdan, Verdan had not completed the project: specifically, it had not entered the subscribing data base into the new telephone switch, completed the testing of the switch, or finished the "cutting over" to the new switch. The Army subsequently modified an existing services contract that it had with Dynamic Concepts, Inc. so that Dynamics Concepts, Inc. would complete the contract that Verdan had failed to complete for $126,772.78. The modification of the Dynamic Concepts, Inc. contract was partially funded with the undisbursed balance of the Verdan contract, which was $84,910.52. This $84,910.52 was intended to pay for the installation and the testing of the telephone switch. The installation and the testing of the telephone switch had not been performed at the time that the Army terminated its contract with Verdan.

On January 15, 1995, Blue Fox obtained a default judgment in the Tribal Court of the Yakima Indian Nation against Verdan and its officers, Gary C. An-

drews and William J. Reubel, Jr. Blue Fox has not collected on this judgment.

Blue Fox brings this claim against the Army and the SBA seeking an equitable lien upon the funds retained by the Army and the SBA under the Verdan contract and/or upon any funds available or appropriated for a follow-up contract for the completion of the electronic switching system project of the Umatilla Army Depot to secure payment of $46,586.14 to Blue Fox. Blue Fox alleges that the Verdan contract was subject to the Miller Act; that, as a person supplying labor and materials on that contract, Blue Fox was entitled to the protection of a Miller Act payment bond; that no Miller Act payment bond was furnished under the Verdan contract; and that the Army and the SBA violated the Miller Act by failing to insure that a bond was in place to protect Blue Fox.

Blue Fox moves the court for summary judgment, and the Army and the SBA move the court for summary judgment.

CONTENTIONS OF THE PARTIES

Blue Fox contends that because the Army and the SBA failed to provide a payment bond for the protection of Blue Fox as required by the Miller Act, this court should grant summary judgment in favor of Blue Fox and impose an equitable lien upon the property of the Army and the SBA to the extent of the amount owed to Blue Fox.

The government contends that the claim by Blue Fox against the Army is barred by the doctrine of sovereign immunity, and that the claim against the SBA must be dismissed because the SBA does not

own or possess any property to which a lien may attach.

APPLICABLE STANDARD

Summary judgment is appropriate where "there is no genuine issue as to any material fact and . . . the moving party is entitled to a judgment as a matter of law." Fed. R. Civ. P. 56(c). The initial burden is on the moving party to point out the absence of any genuine issue of material fact. Once the initial burden is satisfied, the burden shifts to the opponent to demonstrate through the production of probative evidence that there remains an issue of fact to be tried. *Celotex Corp. v. Catrett*, 477 U.S. 317, 323 (1986). On a motion for summary judgment, all reasonable doubt as to the existence of a genuine issue of fact should be resolved against the moving party. *Hector v. Wiens*, 533 F.2d 429, 432 (9th Cir. 1976).

ANALYSIS AND RULING

1. *Jurisdiction*

Jurisdiction is an issue in this case because Blue Fox brings a claim against the United States. Such suits are generally barred by the application of the doctrine of sovereign immunity. Blue Fox contends that this court has jurisdiction to hear its claim for an equitable lien against the Army and the SBA under 28 U.S.C. § 1331; the Small Business Act, 15 U.S.C. § 634(b)(1); and the Administrative Procedures Act, 5 U.S.C. §§ 702-704, 706. Because this is a court of limited jurisdiction, before examining the merits of the claim, the court will determine whether this court has jurisdiction to determine this dispute.

A. *Jurisdiction Over the Claim Against the Army*

Absent a waiver, the doctrine of sovereign immunity protects the federal government and its agencies from suit. *Loeffler v. Frank*, 486 U.S. 549, 554 (1988); *FDIC v. Meyer*, __U.S. __, 114 S.Ct. 996, 1000 (1994). 28 U.S.C. § 1331 does not, of itself, constitute a waiver of sovereign immunity.[1] *North Side Lumber Co. v. Block*, 753 F.2d 1482, 1484 n. 3 (9th Cir. 1985), *cert. denied*, 474 U.S. 919 (1985) (citing *Kester v. Campbell*, 652 F.2d 13, 15 (9th Cir. 1981), *cert. denied*, 454 U.S. 1146 (1982)). The Administrative Procedures Act (APA) allows a suit to be brought against the United States where the complainant seeks relief other than money damages. The APA provides, in pertinent part:

> A person suffering legal wrong because of agency action, or adversely affected or aggrieved by agency action within the meaning of a relevant statute, is entitled to judicial review thereof. An action in a court of the United States seeking relief *other than money damages* and stating a claim that an agency or an officer or employee thereof acted or failed to act in an official capacity or under color of legal authority shall not be dismissed nor relief therein be denied on the ground that it is against the United States or that the United States is an indispensable party. . . .

5 U.S.C. § 702 (emphasis added).

The government contends that the claim against the Army is barred because Blue Fox seeks money

[1] 28 U.S.C. § 1331 provides that "[t]he district courts shall have original jurisdiction of all civil actions arising under the Constitution, laws, or treaties of the United States."

damages. The SBA contends that the relief available to Blue Fox is restricted to the Army's performance of any legal duty it had under the Miller Act and does not include monetary compensation which is a substitute for the suffered loss. Blue Fox contends that this court has jurisdiction under the APA because Blue Fox is seeking an equitable lien, not money damages. Both parties cite *Bowen v. Massachusetts*, 487 U.S. 879 (1988), in support of their positions.

In *Bowen*, the Secretary of Health and Human Services refused to reimburse the State of Massachusetts for certain expenditures that it made under the Medicaid program. The State of Massachusetts challenged this order, alleging that the sovereign immunity of the United States had been waived under the APA. The court found for the State of Massachusetts and ordered the federal government to pay the State of Massachusetts the monies which had been wrongfully withheld. On appeal, the court held that the district court lacked jurisdiction to enter a money judgment against the Secretary of Health and Human Services. The matter was appealed to the United States Supreme Court. The Court ruled that the complaint was not barred by the APA's prohibition against suits for money judgments. The Court reasoned that the State of Massachusetts had not sought damages owed by reason of the failure of the Secretary of Health and Human Services to perform a statutory duty, but was a suit to compel the performance of a duty. The suit was held to be within the purview of the APA, even though it involved the payment of money. 487 U.S. at 899-900.

The test applied by the United States Supreme Court in *Bowen* to determine whether a suit is for

money damages and therefore not waived by the doctrine of sovereign immunity is whether the damages sought are a substitute for a suffered loss (i.e., compensation) or an attempt to obtain the very thing to which the plaintiff is entitled. The former is an action for money damages, while the latter is a suit for specific relief. *Id.* at 895.

Here, the question is whether Blue Fox seeks money damages for a loss suffered, or whether Blue Fox seeks funds to which it is entitled by statute. In other words, Blue Fox must allege and prove that it was entitled under the Miller Act to reimbursement from the Army for the payments that were not made by Verdan to Blue Fox in order for this court to have jurisdiction over Blue Fox's claim against the Army.

The Miller Act states, in relevant part:

> Before any contract, exceeding $25,000 in amount, for the construction, alteration, or repair of any public building or public work of the United States is awarded to any person, such person shall furnish to the United States the following bonds, which shall become binding upon the award of the contract to such person, who is hereinafter designated as "contractor":
>
> . . . .
>
> (2) A payment bond with a surety or sureties satisfactory to such officer for the protection of all persons supplying labor and material in the prosecution of the work provided for in said contract for the use of each such person. . . .

40 U.S.C. § 270a(a).

Thus, if the contract for the installation of the telephone switching system in the Umatilla Army Depot was "for the construction . . . of any public building," Verdan was required to furnish the government with a payment bond for the protection of subcontractors.

The Army classified the Verdan contract as one for services, rather than one for construction, so that the requirements of the Miller Act would not apply. Blue Fox contends that the contract should have been designated as a contract for construction, and Verdan should have been required to furnish a bond, but that the Army and the SBA deleted any requirement for Verdan to furnish a bond and designated the contract as one for services because Verdan was unable to obtain a bond. While a substantial portion of the contract included construction, the contracting agency determined that the contract was primarily a service contract, and that it therefore did not fall under the Miller Act. This court agrees with that determination.

Even if the Miller Act applied to the contract, the Army had no contractual obligation or statutory obligation to pay Blue Fox. The Miller Act neither places a duty on the government to insure that a bond is furnished, nor places the government and the subcontractor in privity of contract. *See Fanderlik-Locke Co. v. United States ex rel. M. B. Morgan*, 285 F.2d 939 (10th Cir. 1960), *cert. denied*, 365 U.S. 860 (1961).

The United States Court of Appeals for the Seventh Circuit addressed this issue in *Arvanis v. Noslo*

Eng'g Consultants, Inc., 739 F.2d 1287, 1288 (7th Cir. 1984):

> The [Miller Act] places no affirmative obligation on the government, and says absolutely nothing about what happens when the contractor fails to furnish the bond. The Act grants a very narrow and specific right to those in appellants' position: the right to sue on the bond (if there happens to be one) "in the name of the United States for the use of the person suing." 40 U.S.C. § 270b(b). . . . There is clearly no waiver of sovereign immunity here. There does seem to be a gap in the statute; there is no provision for the contingency that both the contractor and the government contracting officer will ignore the bonding requirement. However, this is not a gap that we can fill with a remedy—especially in view of the very narrow remedy actually granted by the statute.

The relief sought by Blue Fox is the money damages it suffered when Verdan failed to pay Blue Fox in full. The waiver of sovereign immunity provided by the APA does not apply to the claim of Blue Fox against the Army.

The court concludes that it does not have jurisdiction to determine the claim of Blue Fox against the Army. The motion of the Army for summary judgment is granted.

B. *The SBA*

The SBA is unique in that the "sue and be sued" provisions of the Small Business Act, 15 U.S.C. § 634(b)(1), provide an independent basis for jurisdiction by this court over the SBA. Jurisdiction is proper over the SBA in this case.

2. *Claim Against the SBA*

Blue Fox seeks an order against the SBA establishing an equitable lien against the amount remaining on the Dynamic Concepts, Inc. contract and directing the SBA to pay to Blue Fox from those funds the amount of $46,586.14.

The SBA received no funds under the Verdan contract and has no authority to obtain funds from the contract between the Army and Dynamic Concepts, Inc. The Army terminated the Verdan contract, and this termination included both Verdan as the subcontractor and the SBA as the prime contractor. There is no res or identifiable property in the possession or under the control of the SBA to which an equitable lien may attach.

The motion of the SBA for summary judgment is granted.

CONCLUSION

The motion of Blue Fox for summary judgment (#18) is denied. The motion of the Army and the SBA for summary judgment (#26) is granted. Judgment will be entered in favor of the Army and the SBA.

DATED this 24 day of May, 1996.

/s/ HELEN J. FRYE
HELEN J. FRYE
United States
District Judge

APPENDIX D

IN THE UNITED STATES DISTRICT COURT
FOR THE DISTRICT OF OREGON

Civil No. 95-612-FR

BLUE FOX, INC., A WASHINGTON CORPORATION,
PLAINTIFF

v.

THE UNITED STATES SMALL BUSINESS
ADMINISTRATION; AND THE UNITED STATES
DEPARTMENT OF THE ARMY, DEFENDANTS

[Filed: May 24, 1996]

JUDGMENT

IT IS HEREBY ORDERED AND ADJUDGED that judgment is entered in favor of the defendants and against the plaintiff.

DATED this 24 day of May, 1996.

/s/ HELEN J. FRYE
HELEN J. FRYE
United States
District Judge

APPENDIX E

IN THE UNITED STATES DISTRICT COURT
FOR THE DISTRICT OF OREGON

Civil No. CV 95-612-FR

BLUE FOX, INC., A WASHINGTON CORPORATION,
PLAINTIFF

v.

THE UNITED STATES SMALL BUSINESS
ADMINISTRATION; AND THE UNITED STATES
DEPARTMENT OF THE ARMY, DEFENDANTS

(Suit for Equitable Lien on Federal
Construction Project)

INTRODUCTION

1.

This is a suit for an equitable lien by an unpaid subcontractor on a federal construction project.

PARTIES

2.

Plaintiff is a Washington Corporation engaged in the construction industry.

3.

Defendant United States Small Business Administration ("SBA") is an agency of the United States Government. Defendant United States Department

of the Army ("Army") is an agency of the United States Government.

JURISDICTION

4.

Jurisdiction over Defendant SBA is based on the Federal Question Statute, 28 USC § 1331, the Small Business Act, 15 USC § 634(b)(1), and the Administrative Procedure Act [,] 5 USC §§ 702-704 and 706.

5.

Jurisdiction over Defendant Army is based on the Federal Question Statute, 28 USC § 1331, and the Administrative Procedure Act [,] 5 USC §§ 702-704 and 706.

FACTS

6.

On or about September 29, 1993, pursuant to Section 8(a) of the Small Business Act, 15 USC § 637(a), Defendant Army awarded Contract Number DAEA08-93-C-0056 to Defendant SBA. Defendant SBA in turn awarded the contract to Verdan Technology, Inc. ("Verdan"), an eligible 8(a) contractor.

7.

Under Contract Number DAEA08-93-C-0056, Verdan was required to install a Government Furnished Equipment (GFE) AT&T Definity G1 Electronic Switching System (ESS) at Umatilla Army Depot, Oregon. Item 0001 of the contract required construction of a 20 foot by 25 foot (500 square foot) concrete block building with concrete foundation and gable roof in which to house the switching system. The contractor was also required to install a 6 foot by 20 foot

cable vault underneath the new building, and provide all electrical, fire suppression/detection systems, air conditioning/heating systems, and structural details of the new building.

8.

On October 14, 1993, Verdan and Plaintiff entered into a written subcontract agreement. Under this subcontract, Plaintiff agreed to perform the construction portion of Contract Number DAEA08-93-C-0056, including the construction work described in paragraph 7 above, for a total price of $185,522.80. A subsequent change order increased the price to $186,347.80. Plaintiff's subcontract price represented approximately 43% of the $430,879.00 total price of the contract between Defendant SBA and Verdan.

9.

Plaintiff satisfactorily completed all work under the subcontract. However, Verdan failed to pay Plaintiff $46,586.14 which is still owing for construction work performed by Plaintiff at the Umatilla Army Depot.

10.

On or about January 3, 1995, Defendant Army issued a modification to Contract Number DAEA08-93-C-0056 terminating Verdan's contract for default. Said termination relates to Verdan's failure to complete Item 0002 of the contract, and is unrelated to work provided by Plaintiff.

11.

On January 17, 1995, Plaintiff obtained a default judgment in the Tribal Court of the Yakima Indian Nation against Verdan Technologies, Inc., and its of-

ficials William J. Reubel, Jr. and Gary C. Andrews, Tribal Court Case No. C-94-77. Plaintiff has collected no part of said judgment. Existing liens against Verdan Technologies, Inc., in the amount of $248,000 precede Plaintiff's judgment. Existing liens against William J. Reubel, Jr. and Gary C. Andrews far exceed said individuals' net worths.

FIRST CLAIM FOR RELIEF

(Equitable Lien)

12.

Contract Number DAEA08-93-C-0056 was subject to the Miller Act, 40 USC § 270a(a)(2). Said statute provides, in relevant part, that "[b]efore any contract for the construction, alteration or repair of any public building or public work of the United States is awarded to any person, such person shall furnish to the United States the following bonds . . . (2) A payment bond . . . for the protection of all persons supplying labor and material in the prosecution of the work . . . ."

13.

Plaintiff was a "person[] supplying labor and material in the prosecution of the work . . . ." within the meaning of 40 USC § 270a(a)(2). As such, Plaintiff was entitled to the protection of a Miller Act payment bond.

14.

Notwithstanding the requirements of 40 USC § 270a(a)(2), no Miller Act payment bond was furnished under Contract Number DAEA08-93-C-0056 to protect Plaintiff.

15.

By failing to ensure that a bond was in place to protect Plaintiff, Defendant SBA and Defendant Army each violated the Miller Act, 40 USC § 270a(a)(2).

16.

Plaintiff was unaware, until approximately June 15, 1994, that no Miller Act bond was in place for its protection. On the contrary, Plaintiff had believed such a bond was in place, in part due to Verdan's insistence that Plaintiff put up a bond to protect lower tier subcontractors and suppliers.

17.

On June 15, 1994, Plaintiff promptly informed both Defendant Army and Defendant SBA in writing that Plaintiff was an unpaid subcontractor, and requested that Verdan's payment be suspended or reduced until Plaintiff was fully paid.

18.

Despite Plaintiff's request, Defendant Army fully paid Verdan for that portion of Contract Number DAEA08-93-C-0056 performed by Plaintiff.

19.

As a result of the failure of Defendant Army and Defendant SBA to ensure that a Miller Act payment bond was furnished, Plaintiff has been unable to collect the $46,586.14 Verdan failed to pay.

20.

An equitable lien should therefore be placed upon retained funds under Contract Number DAEA08-93-

C-0056 to secure payment to Plaintiff of $46,586.14, plus interest and attorneys fees.

21.

In the alternative, an equitable lien should be placed on any funds available or appropriated for a follow-on contract for completion of the Umatilla Army Depot Electronic Switching System project.

22.

Defendants should also be enjoined from paying any further moneys under Contract Number DAEA08-93-C-0056, or making any payments from funds available or appropriated for a follow-on contract for completion of the Umatilla Army Depot Electronic Switching System project, until Plaintiff's unpaid bill is satisfied.

WHEREFORE, Plaintiff prays for relief as follows:

1. Against Defendant Small Business Administration:

a. for an Order declaring that an equitable lien exists for Plaintiff's benefit, up to $46,586.14, plus interest and attorney's fees, on retained funds under Contract Number DAEA08-93-C-0056;

b. for an Order directing payment to Plaintiff from said retained funds in the amount of $46,586.14, plus interest and attorney's fees;

c. in the alternative, if no retained funds exist, for an Order declaring that an equitable lien exists for Plaintiff's benefit, up to $46,586.14, plus interest and attorney's fees, on all funds available or appropriated for a follow-on contract for completion of the Umatilla Army Depot Electronic Switching System project;

d. for an Order directing the payment to Plaintiff from said funds in the amount of $46,586.14, plus interest and attorney's fees;

e. for a money judgment of $46,586.14;

f. for Plaintiff's costs under 28 USC § 2412(a)(1);

g. for interest on $46,586.14 from May 24, 1994 until paid under the Prompt Payment Act, 31 USC § 3902 and the Contract Disputes Act, 41 USC § 611;

h. For Plaintiff's attorney's fees under the Equal Access to Justice Act, 5 USC § 504 and 28 USC § 2412(b), and the Verdan-Blue Fox subcontract;

2. Against Defendant Department of the Army:

a. for an Order declaring that an equitable lien exists for Plaintiff's benefit, up to $46,586.14, plus interest and attorney's fees, on retained funds under Contract Number DAEA08-93-C-0056;

b. for an Order directing payment to Plaintiff from said retained funds in the amount of $46,586.14, plus interest and attorney's fees;

c. in the alternative, if no retained funds exist, for an Order declaring that an equitable lien exists for Plaintiff's benefit, up to $46,586.14, plus interest and attorney's fees, on all funds available or appropriated for a follow-on contract for completion of the Umatilla Army Depot Electronic Switching System project;

d. for an Order directing the payment to Plaintiff from said funds in the amount of $46,586.14, plus interest and attorneys fees;

e. in the alternative, for an injunction ordering Defendant Army to pay to Defendant SBA, its prime contractor under Contract Number DAEA08-93-C-0056, $46,586.14,

f. for an injunction enjoining Defendants from paying any further moneys under Contract Number DAEA08-93-C-0056, or making any payments from funds available or appropriated for a follow-on contract for completion of the Umatilla Army Depot Electronic Switching System project, until Plaintiff's unpaid bill is satisfied;

g. for Plaintiff's costs under 28 USC § 2412(a)(1);

h. for interest on $46,486.14 from May 24, 1994 until paid under the Prompt Payment Act, 31 USC § 3902 and the Contract Disputes Act, 41 USC § 611;

i. For Plaintiff's attorney's fees under the Equal Access to Justice Act, 5 USC § 504 and 28 USC § 2412(b), and the Verdan-Blue Fox subcontract;

3. For such other and further relief which may be equitable and just.

Respectfully submitted this 11th day of May, 1995.

/s/ THOMAS F. SPAULDING
THOMAS F. SPAULDING, OSB #85003
Attorney for Plaintiff